INVESTING & MARKETS (INDIA)

How the Indian Stock Market Works

The full market plumbing for an Indian beginner — SEBI, NSE/BSE, clearing and depositories, accounts and brokers, order types and the order book, T+1 settlement, circuits and surveillance, indices, corporate actions, IPOs, contract notes and a 60-term glossary.

stock market · india · nse · bse · sebi · trading · demat · settlement · ipo · corporate actions · order types · indices · brokerage · market mechanics · investing

Study Pack · Comprehensive reference & interview prep · ~140 min read · 30,722 words

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What a Share Actually Is

Before any discussion of brokers, order types or settlement, one idea has to be solid: a share is a legal claim on a fraction of a real business. Everything else in this guide — the exchanges, the clearing corporations, the depositories, the circuit filters — is plumbing built to make that claim transferable safely. If the claim is not understood, the plumbing is just noise.

❌ **This is financial education, not financial advice**

Nothing in this guide recommends buying or selling any security, fund, IPO or product. No stock is recommended anywhere; companies are named only as neutral illustrations of a mechanism. **Past performance does not predict future returns.** You can lose money, including your entire capital — Indian indices have fallen more than 50% within living memory and individual listed companies have gone to zero. Market mechanics described here can and do change by SEBI and exchange circular. For advice specific to your situation, consult a **SEBI-registered Investment Adviser (RIA)** and verify their registration number on the SEBI intermediary portal before paying anything.

⚠️ **All rules, rates, charges and thresholds: as at FY 2025-26 / late 2026**

Brokerage structures, STT rates, exchange transaction charges, stamp duty, settlement cycles, circuit limits, surveillance frameworks, IPO allotment rules and index methodologies all change by circular, sometimes with a few weeks' notice. **Every number in this guide must be verified before you rely on it** at **sebi.gov.in**, **nseindia.com**, **bseindia.com**, **nsdl.co.in**, **cdslindia.com** and **incometax.gov.in**. Treat each figure as illustrative of the structure, not as a current quotation.

Ownership, and what it actually entitles you to

A share of a company incorporated under the Companies Act, 2013 gives its holder a bundle of specific legal rights. Not a promise, not a price — rights.

Right	What it means in practice	Statutory / practical basis
Residual claim on profits	After employees, suppliers, lenders, and the government have been paid, what remains belongs to equity holders. The board may distribute it as dividend or retain it in the business.	This is why equity is "residual" — last in the queue, and therefore the most volatile claim
Residual claim on assets in liquidation	If the company is wound up, secured creditors, then unsecured creditors, then preference shareholders are paid. Equity holders receive whatever is left, which in a genuine insolvency is almost always **nothing**.	Insolvency and Bankruptcy Code, 2016 waterfall (s.53)
Voting rights	One vote per equity share on resolutions at general meetings — appointing directors, auditors, approving related-party transactions, schemes of arrangement. You can vote electronically; every listed Indian company must offer e-voting.	Companies Act, 2013; SEBI LODR Regulations, 2015
Right to information	Annual report, quarterly results, shareholding pattern, board changes, material events. Listed companies must disclose price-sensitive information to the exchanges promptly.	SEBI (LODR) Regulations, 2015, Reg. 30
Pre-emptive right in a rights issue	The right to subscribe to new shares in proportion to your holding, so your stake is not diluted without your consent.	Companies Act, 2013, s.62
Right to transfer	You may sell freely on the exchange. This liquidity is the entire reason exchanges exist.	Securities Contracts (Regulation) Act, 1956
Right to participate in corporate actions	Bonus, split, buyback, dividend, demerger — all accrue to the registered holder on the record date.	Covered in detail in section 11
Limited liability	Your maximum loss is what you paid. A shareholder is not liable for the company's debts.	The foundational feature of a limited company

What a share does NOT entitle you to

You cannot walk into the company's office and demand a desk. You cannot demand a dividend — the board decides, and a profitable company may pay nothing for a decade. You cannot force the company to buy your share back. You have no claim on any specific asset. And owning 100 shares of a company with 600 crore shares outstanding gives you a vote that will never change any outcome. Retail "ownership" is real in law and economically meaningful; it is not control.

Where the value comes from

TEXT

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THE ONLY THING THAT ULTIMATELY GIVES A SHARE VALUE

A share is worth the present value of all the cash the
business will return to its owners, from now until it
ceases to exist.

        PV  =  sum over t of  [ CF(t) / (1 + r)^t ]

  CF(t) = free cash flow attributable to equity in year t
  r     = the rate of return investors demand, given risk

Two things move a share price, and only two:
  1. A CHANGE IN EXPECTED FUTURE CASH FLOWS
       - better or worse earnings
       - a new contract, a lost customer, a regulatory change
       - margin expansion or compression
  2. A CHANGE IN THE DISCOUNT RATE r
       - interest rates (RBI repo rate, G-Sec yields)
       - perceived risk of the business
       - the general appetite for risk among investors

EVERYTHING ELSE you read about — FII flows, "technical
breakouts", news sentiment, index inclusion, a bonus issue —
operates THROUGH one of those two channels, or is noise.

WORKED: WHY A RATE RISE HURTS A "GROWTH" STOCK MORE

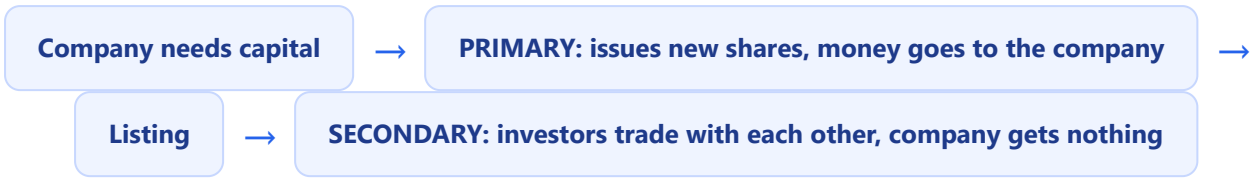
  Company A: steady ₹100 cr free cash flow, flat forever
  Company B: ₹20 cr now, growing 25% a year for 10 years,
             then flat

  At r = 10%:
     A is worth 100/0.10              = ₹1,000 cr
     B's cash flows are back-loaded; most of its value sits
     in years 8-20. Say it is worth   ≈ ₹1,050 cr

  Raise r to 13% (say G-Sec yields rise 300 bps):
     A is worth 100/0.13              = ₹  769 cr   (-23%)
     B, with value further out in time, is discounted
     harder: say                      ≈ ₹  680 cr   (-35%)

  NEITHER COMPANY'S BUSINESS CHANGED AT ALL.
  Only r changed. This is why the whole market can fall
  10% on an inflation print, and why long-duration growth
  stocks fall more than cash-generating ones when rates rise.
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Primary market versus secondary market



	Primary market	Secondary market
Who sells	The company (fresh issue) or existing shareholders (offer for sale)	One investor to another
Where the money goes	To the company, if it is a fresh issue — this is real capital formation	To the selling investor. **The company receives nothing.**
Instruments	IPO, FPO, rights issue, preferential allotment, QIP, private placement of bonds	Exchange trading of listed shares, bonds, ETFs, REITs, InvITs
Price discovery	Book building within a price band, or fixed price	Continuous, by order matching
Typical retail involvement	IPO applications via UPI mandate; rights issue subscription	Everyday buying and selling
Regulation	SEBI (ICDR) Regulations, 2018	SEBI (LODR) Regulations, 2015; exchange byelaws

✦ **The point that surprises most beginners**

When you buy 50 shares of a listed Indian company on NSE, **the company receives nothing**. Your money goes to the person who sold. The company raised its capital once, at IPO or at a subsequent issue, and from then on the secondary market simply reprices that claim between investors. This is not a flaw — the existence of a liquid secondary market is precisely what makes investors willing to fund the primary market in the first place, because they know they can exit. But it explains why "supporting a company by buying its shares" is a misunderstanding.

Why prices move — the microstructure answer

TEXT

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THE MECHANICAL TRUTH ABOUT PRICE

A share price is simply THE PRICE OF THE LAST TRADE.
Nothing more. It is not a valuation, not a consensus,
not an official figure. It is one transaction between
one buyer and one seller.

AT ANY MOMENT THE ORDER BOOK LOOKS LIKE THIS:

   BIDS (buyers)                ASKS (sellers)
   Qty      Price               Price      Qty
   1,240    ₹1,248.50           ₹1,248.75  860
   3,100    ₹1,248.25           ₹1,249.00  2,400
   890      ₹1,248.00           ₹1,249.25  1,150
   5,600    ₹1,247.75           ₹1,249.50  7,300

   Best bid ₹1,248.50   Best ask ₹1,248.75   Spread ₹0.25

The price "moves up" when a buyer is willing to pay the
ask, consuming the sell orders at ₹1,248.75, then
₹1,249.00, and so on. The last traded price becomes
whatever level the buying stopped at.

SO THE PRICE RISES WHEN:
  buyers are more AGGRESSIVE (willing to cross the spread
  and lift offers) than sellers are at that moment.

It does NOT rise because "more people bought than sold."
Every trade has exactly one buyer and one seller, always.
The number of shares bought ALWAYS equals the number sold.
What changes is the URGENCY on each side.

CONSEQUENCE FOR A RETAIL INVESTOR:
  In a thin stock, your own order can move the price.
  Placing a market order for 20,000 shares in a stock that
  trades 40,000 shares a day will walk the book up several
  percent — and you will pay every step of it. See section 6.
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The Architecture of the Indian Market

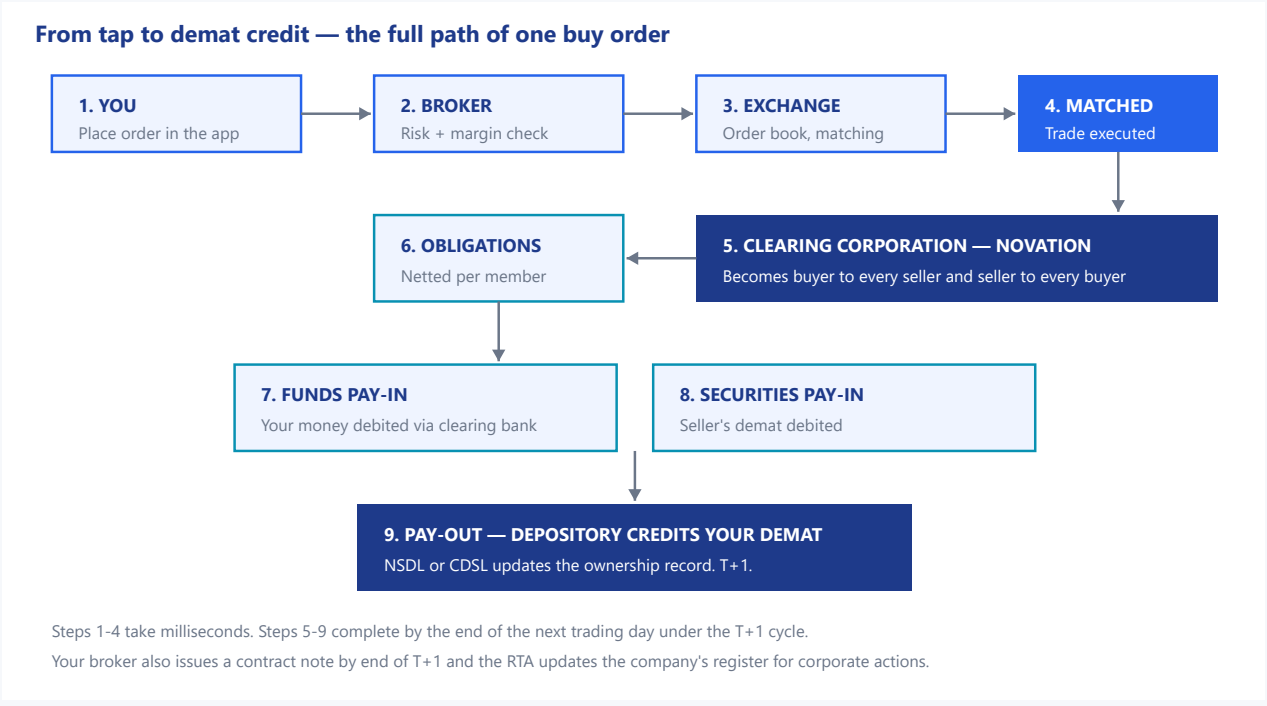
When you tap "Buy" on a phone, roughly eight institutions act in sequence before shares appear in your account. Understanding who they are explains why your money is safe (and the specific ways it is not), why settlement takes a day, why you pay the charges you pay, and whom to complain to when something breaks.

The institutions

Entity	What it is	What it does for you	Indian examples
SEBI	Securities and Exchange Board of India — the statutory regulator, established under the SEBI Act, 1992	Registers every intermediary, writes the regulations, inspects, investigates, penalises, and runs investor grievance redressal (SCORES)	SEBI
Stock exchange	A Market Infrastructure Institution providing the trading platform and order-matching engine	Matches your order against a counterparty anonymously, by price-time priority; publishes prices; enforces listing obligations; operates surveillance	NSE, BSE, MSE (Metropolitan Stock Exchange), plus commodity exchanges MCX and NCDEX
Clearing corporation	A separate MII that becomes the legal counterparty to every trade through **novation**	**Guarantees settlement.** Once a trade is novated, you are owed shares or money by the clearing corporation, not by an anonymous stranger who may default	NSE Clearing Ltd (NCL), Indian Clearing Corporation Ltd (ICCL) for BSE, MSE Clearing
Depository	Holds securities in electronic (dematerialised) form, under the Depositories Act, 1996	Maintains the definitive record of who owns what; credits and debits your demat account on settlement; processes corporate actions	NSDL (National Securities Depository Ltd), CDSL (Central Depository Services Ltd)
Depository Participant (DP)	An agent of a depository — usually your broker or a bank	Opens and operates your demat account; the interface between you and NSDL/CDSL	Your broker, or a bank's demat services arm
Stock broker / trading member	A SEBI-registered member of an exchange	Gives you access to the order-matching engine; collects margin; issues contract notes; handles funds pay-in and pay-out	Any SEBI-registered broker with an INZ number

Registrar and Transfer Agent (RTA)	A SEBI-registered agent appointed by the company or the fund house	Maintains the shareholder register; processes IPO allotments, dividends, bonus, splits, rights; handles investor service requests	KFin Technologies, Link Intime, Computer Age Management Services (CAMS, primarily for mutual funds), MUFG Intime
Custodian	A SEBI-registered entity holding securities on behalf of institutional clients	Not usually relevant to retail; confirms institutional trades to the clearing corporation	Bank custodians serving FPIs and mutual funds
Clearing bank	A bank designated by the clearing corporation	Moves funds between brokers' settlement accounts and the clearing corporation	Several scheduled commercial banks

The full lifecycle of a trade



The full lifecycle. The clearing corporation step (5) is the one most retail investors have never heard of, and it is the one that makes the whole system safe.

Novation — why you never worry about who sold to you

TEXT

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WHAT NOVATION ACTUALLY DOES

BEFORE NOVATION
   You  ←—— a contract —→ Some anonymous stranger
   If the stranger does not deliver shares, you have a
   problem with a person you cannot identify.

AFTER NOVATION (automatic, on every exchange trade)
   You  ←—— contract —→ CLEARING CORPORATION
   Clearing Corporation ←—— contract —→ The seller

   The single contract is legally replaced by two contracts.
   The clearing corporation is now:
       the SELLER to every buyer, and
       the BUYER to every seller.

WHY THIS MATTERS
   If the seller fails to deliver, THE CLEARING CORPORATION
   STILL DELIVERS TO YOU. It then recovers from the defaulter
   through an auction (see section 7) and through the
   defaulter's margins.

HOW IT PROTECTS ITSELF
   - Upfront margin collected from brokers before orders are
     accepted (VaR margin + Extreme Loss Margin + others)
   - Mark-to-market margin collected daily
   - Core Settlement Guarantee Fund (Core SGF) contributed to
     by the clearing corporation, the exchange and members
   - A documented "default waterfall": defaulter's margins →
     defaulter's SGF contribution → clearing corp's own
     "skin in the game" → remaining SGF → other members

CONSEQUENCE: in the Indian equity cash segment, a retail
buyer has never had to chase a defaulting seller. This is
genuinely world-class market infrastructure, and it is why
you can transact with a stranger for lakhs of rupees
without knowing their name.

WHAT IT DOES NOT PROTECT AGAINST
   - Your BROKER misusing your securities or funds
   - Your own bad decisions
   - A company's business failing
   See section 4 for broker-level protections.
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NSDL and CDSL — the two depositories

	NSDL	CDSL
Established	1996, the first Indian depository	1999
Promoters (historically)	IDBI, UTI, NSE and others	BSE and banks
Demat account number format	**16 characters: "IN" + 14 digits** (an 8-digit DP ID beginning with IN, plus an 8-digit client ID)	**16 digits, all numeric**
What it holds	Equity shares, bonds, debentures, government securities, mutual fund units in demat, ETFs, REIT/InvIT units, commercial paper, certificates of deposit	
Free investor services	Consolidated Account Statement (CAS), SPEED-e for instructions, IDeAS for viewing holdings	CAS, easi for viewing, easiest for transacting
Which one do you have?	Determined by your broker/DP, not by you. You can hold accounts with both. Inter-depository transfers are possible and routine.	

✦ **Register directly with your depository, not just with your broker**
Create a login on CDSL **easi** or NSDL **IDeAS** using your DP ID and client ID. This gives you a view of your holdings that is **independent of your broker's app** — which matters because the depository record is the legal record of ownership. If your broker's platform is down, or if you ever doubt a broker's statement, the depository is the source of truth. Also enable SMS and email alerts for every debit from your demat account: an unexpected debit alert is the earliest warning of unauthorised transfer.

Who to complain to, and in what order

1 **The intermediary itself**
Every broker and DP must have a designated grievance officer and a published escalation matrix. Start here in writing, with a reference number. Keep the email.

2 **The exchange**
NSE and BSE run investor grievance cells and Investor Service Centres. Complaints against trading members go here if the broker does not resolve within the stipulated time.

3 **SEBI SCORES**
The centralised online complaint system at

scores.gov.in
. Complaints are routed to the intermediary with deadlines and escalation.

4 **SMART ODR portal**
SEBI's Online Dispute Resolution platform for conciliation and arbitration of securities-market disputes, after the above routes are exhausted.

5 **Investor Protection Fund**
If a broker is declared a defaulter by an exchange, the exchange's IPF compensates eligible investors up to a specified limit. Verify the current limit with the exchange — it has been revised upward over time.

6 **Depository**
For demat-specific issues (unauthorised debits, failure to credit), complain to NSDL or CDSL directly as well as to the DP.

7 **SEBI SEBI Complaints / enforcement**
For allegations of fraud, market manipulation or insider trading, SEBI's enforcement arm, not SCORES, is the relevant route.

The Accounts You Need and How They Interlock

Three accounts work together: a trading account to place orders, a demat account to hold securities, and a bank account to hold money. They are separate legal constructs with separate regulators and separate charges, and understanding the separation prevents a surprising amount of confusion.

The three accounts

	Trading account	Demat account	Bank account
Opened with	A SEBI-registered stock broker (trading member)	A Depository Participant (usually the same broker, or a bank)	A bank
Governed by	SEBI (Stock Brokers) Regulations, 1992; exchange byelaws	Depositories Act, 1996; SEBI (Depositories and Participants) Regulations, 2018	Banking Regulation Act, 1949; RBI
Holds	Nothing permanently. It is a conduit for orders and for funds in transit	Your securities, in electronic form	Your money
Identifier	Client code / UCC (Unique Client Code)	16-digit DP ID + Client ID (BO ID)	Account number + IFSC
Typical charges	Account opening (often ₹0–₹500); brokerage per order; call-and-trade fees	Annual Maintenance Charge ₹0–₹750; **DP charges on every sell**, ₹13–₹25 per scrip per day	Minimum balance; NEFT/IMPS charges (usually nil on UPI)
Needed for	Buying and selling anything on an exchange	Holding shares, ETFs, bonds, REITs; *not* needed for mutual funds held in statement-of-account form	Funding and receiving payouts
Can you have several?	Yes, with different brokers	Yes, with different DPs	Yes

A common point of confusion: mutual funds do not need a demat account

You can hold mutual fund units either in **demat form** (inside your demat account, visible alongside shares) or in **statement-of-account (SOA) form** held with the RTA — CAMS or KFintech. SOA is the traditional route, costs nothing, requires no demat account, and is what you get when you invest directly through an AMC website or through MF Central. Demat form is convenient if you want everything in one place and is required if you want to pledge units. Switching between the two is possible but involves a conversion request. Neither is better; just know which you have, because your Consolidated Account Statement will show both.

KYC — the gateway

TEXT

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KYC FOR INDIAN SECURITIES MARKETS — AS AT FY 2025-26
Verify current requirements at sebi.gov.in and with your KRA.

DOCUMENTS REQUIRED
  [ ] PAN card — MANDATORY, no exceptions for market transactions
  [ ] Aadhaar (for e-KYC and for the Aadhaar-PAN linkage)
  [ ] Proof of address — Aadhaar, passport, driving licence,
      utility bill (recent), bank statement
  [ ] Bank proof — cancelled cheque with your name printed,
      or a bank statement showing name, account number, IFSC
  [ ] Photograph
  [ ] Signature (scanned or captured)
  [ ] Income proof — ONLY if you want F&O or currency segments
      (salary slip, ITR acknowledgement, bank statement,
       net worth certificate, holding statement)
  [ ] In-Person Verification (IPV) — done via a short video
      capture on the app in most online onboarding flows

KRA — KYC REGISTRATION AGENCY
  Your KYC is stored centrally with a SEBI-registered KRA
  (CVL KRA, NDML KRA, CAMS KRA, Karvy KRA, BSE KRA).
  Once done, it is reusable across intermediaries.

  CHECK YOUR STATUS at any KRA website using your PAN.
  Possible statuses include:
      KYC Validated     — best; Aadhaar-validated, fully usable
      KYC Registered    — usable, but may need modification
      KYC On-Hold       — BLOCKED. Usually a PAN-Aadhaar
                          linkage issue or a mobile/email
                          validation issue. Fix it immediately.
      KYC Rejected      — must redo

  A large number of Indian investors discovered an "on-hold"
  status when KYC norms were tightened, and found their SIPs
  and redemptions blocked. Check yours NOW, before you need it.

RE-KYC
  Periodic re-KYC is required — the interval depends on your
  risk categorisation (commonly every 2, 8 or 10 years).
  Your intermediary will notify you. Non-completion freezes
  the account.

PAN-AADHAAR LINKING
  Failure to link makes your PAN INOPERATIVE, which blocks
  securities transactions and triggers higher TDS rates.
  Check at incometax.gov.in.

NOMINATION
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SEBI has made nomination (or an explicit, signed opt-out)
mandatory for demat accounts and mutual fund folios.
The deadline has been extended several times — verify the
current position at sebi.gov.in. Non-compliance has
previously resulted in accounts being frozen for debits.
JUST DO IT. It takes four minutes online.
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Nomination, joint holding and what happens on death

Structure	How it works	On death of a holder	Practical note
Single holder, nominee registered	You alone operate; up to 10 nominees with specified percentages	Nominee submits a transmission request with a death certificate and KYC; securities transmitted, generally without probate for most cases	**The default recommendation.** Fast and low-friction.
Single holder, no nominee	You alone operate	Legal heirs must produce succession certificate, probate or a letter of administration, plus indemnity — this can take **months to years**	Avoid. SEBI has made nomination or explicit opt-out mandatory for this reason.
Joint holding (first + second holder)	Operated per the mandate; in demat, instructions generally require all holders	Securities transmit to the surviving holder(s) on production of a death certificate — fast	Note the tax and reporting consequence: the **first holder** is generally treated as the owner for taxation of gains.

⚠ **Nominee is not the same as heir**

A nominee is a person authorised to **receive** the securities on your death; the nominee holds them for the lawful heirs under the applicable succession law unless they are also the heir. Indian courts have ruled on this distinction more than once. If you want a specific person to **own** your assets, write a **Will**. A nomination speeds up transmission; a Will determines ownership. Doing both is the clean answer, and a simple Will for a straightforward estate is inexpensive to have drafted.

Basic Services Demat Account (BSDA)

TEXT

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BSDA — A CHEAPER DEMAT ACCOUNT FOR SMALL PORTFOLIOS
As at FY 2025-26. SEBI revised the BSDA thresholds effective
1 September 2024. VERIFY CURRENT LIMITS at sebi.gov.in.

ELIGIBILITY
  - You must hold only ONE demat account across all
    depositories, as the SOLE or FIRST holder
  - Value of holdings must stay within the prescribed slab

INDICATIVE AMC STRUCTURE (post the 2024 revision)
  Holding value up to ₹4,00,000          →  NIL AMC
  Holding value ₹4,00,001 to ₹10,00,000  →  AMC capped at
                                            ₹100 per year
  Holding value above ₹10,00,000         →  account converts
                                            to a regular
                                            demat account at
                                            normal charges

ALSO INCLUDED
  - Electronic statements free
  - Physical statements may be chargeable beyond a free limit

WHO SHOULD USE IT
  A beginner with a portfolio under ₹10 lakh who holds only
  one demat account. Over a decade, an avoided ₹400/year AMC
  plus GST is not life-changing, but it is free money.

HOW TO GET IT
  Many brokers apply BSDA automatically if you qualify.
  Others require you to ASK. Email your DP, in writing,
  requesting BSDA status, and keep the reply.

WARNING: opening a second demat account disqualifies you.
If you open an account with another broker to try their
platform, your BSDA benefit may lapse.
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Linking it all together

TEXT

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HOW MONEY AND SHARES ACTUALLY MOVE

BUYING
  1. You transfer funds from your BANK to the broker's
     designated client bank account (UPI, net banking,
     NEFT/RTGS/IMPS). Some brokers charge ₹9–₹20 for
     payment gateway transfers; UPI is usually free.
  2. The funds show as "available margin" in your TRADING
     account. This is NOT your bank account — it is money
     held by the broker in a client account, segregated
     from the broker's own funds.
  3. You place a buy order. On execution, the obligation
     is created.
  4. On settlement, funds move to the clearing corporation
     and shares are credited to your DEMAT account.

SELLING
  1. You place a sell order. SEBI's framework requires
     upfront verification that the shares exist — brokers
     use either an early pay-in or a pledge of the shares
     to the clearing corporation.
  2. On execution, your DEMAT is debited at pay-in.
  3. On settlement, funds are credited to your TRADING
     account, less all charges.
  4. You WITHDRAW from the trading account to your BANK
     account. This is a separate step and typically takes
     one working day.

IMPORTANT: RUNNING ACCOUNT SETTLEMENT
  SEBI requires brokers to settle (transfer back to your
  bank) any unused funds lying in your trading account on
  a periodic basis — monthly or quarterly, per your
  election, commonly on the first Friday of the month or
  quarter. This prevents brokers from holding client money
  indefinitely. You will see an automatic bank credit; it
  is not an error.

  Verify the current running-account settlement norms at
  sebi.gov.in — they have been tightened more than once.
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Choosing a Broker

Your broker determines your cost per trade, the reliability of your access during volatile sessions, and — in the worst case — whether your securities are safe. This section

compares brokers on **structure**, not on which one is best. Fee tables change monthly; the structural questions do not.

> ⚠ **Fee figures below are indicative, as at late 2026**
> Brokerage plans, DP charges, AMC and ancillary fees change frequently and vary by plan within the same broker. **Always check the broker's own current tariff sheet**, which SEBI requires them to publish, and the "charges" page of their website. Nothing here is an endorsement or a comparison of quality.

The two business models

	Discount broker	Full-service broker
Revenue model	Flat fee per executed order (commonly ₹20 or a small percentage, whichever is lower); often ₹0 on delivery equity. Makes money on volume, margin funding interest and float.	Percentage of turnover (0.1%–0.5%), plus advisory, research, PMS and distribution commissions
What you get	A platform, an API, charts, basic support. No advice.	Research reports, a relationship manager, offline branches, call-and-trade, IPO and bond desks
Who it suits	Self-directed investors comfortable with an app and online support	Those who want hand-holding, offline access, or who genuinely use the research
Conflict of interest	Their revenue rises with your trading frequency. App design reflects this.	Their revenue rises with your turnover *and* with the products they distribute to you. Research may be published on stocks where the firm's other arms have an interest — check the disclosure at the end of every report.
Cost on a ₹50,000 delivery buy	Often ₹0 brokerage	₹50–₹250 brokerage, plus GST

The full fee stack — everything you can be charged

Charge	What triggers it	Indicative level	Avoidable?
Account opening	Onboarding	₹0–₹500 (often waived in campaigns)	Largely
Brokerage — delivery equity	Each executed order	₹0 at several discount brokers; up to 0.5% at full-service	Yes, by choice of broker
Brokerage — intraday / F&O	Each executed order	₹20 or 0.03% whichever is lower, typically	Yes, by not trading
DP charges	**Every sell of delivery shares** — per scrip, per day, regardless of quantity	₹13–₹25 + GST	Partially — fewer, larger sell transactions
Demat AMC	Annually	₹0–₹750 + GST; nil under BSDA for small holdings	Yes, via BSDA or broker choice
Payment gateway / fund transfer	Adding funds by net banking	₹9–₹20 per transfer; usually ₹0 via UPI	**Yes — use UPI**
Call-and-trade	Placing an order by phone	₹20–₹50 per order	Yes
Auto square-off	Broker closing an intraday or margin position you failed to close	**₹50 per position** at many brokers, plus brokerage on the closing leg	Yes — close your own positions
Physical contract note / statement	Requesting paper	₹20–₹50 + courier	Yes
Pledge / unpledge	Pledging holdings for margin	₹20–₹35 per ISIN per request	Yes — do not use margin
Delayed payment / margin interest	Negative balance, or MTF	0.035%–0.05% per day (12%–18% annualised)	Yes — keep funds adequate
Off-market transfer	Moving shares between demat accounts outside the exchange	₹25–₹50 per ISIN or a percentage	Situational

Dormant account charge	Inactivity	Varies	Yes
Statutory charges (identical across all brokers — no broker can discount these)			
STT (Securities Transaction Tax)	Delivery equity: 0.1% on **both** buy and sell. Intraday: 0.025% on sell only. Rates differ for F&O.	Set by the Finance Act	No
Exchange transaction charge	Per trade value	~0.00297% NSE equity delivery, ~0.00375% BSE (verify current circular — these were revised in 2024)	No
SEBI turnover fee	Per trade value	₹10 per crore	No
Stamp duty	**Buy side only**	0.015% on delivery; 0.003% on intraday. Uniform across states since the 2020 amendment to the Indian Stamp Act, 1899.	No
GST	18% on (brokerage + exchange charges + SEBI fee + DP charges)	18%	No
IPFT (Investor Protection Fund Trust)	Per trade value on NSE	~₹10 per crore	No

Comparison of major Indian brokers — on structure, not endorsement

> **How to read this table**
> This is a structural comparison of the publicly stated models of well-known SEBI-registered brokers, presented so you can see the *shape* of the market. It is **not a recommendation**, not a ranking, and not current pricing. Every entry must be verified on the broker's own tariff page, and all of them change plans periodically. Several also offer multiple plans with different trade-offs.

Broker	Model	Typical delivery brokerage	Typical intraday / F&O	Notable structural features
Zerodha	Discount	₹0	₹20 or 0.03%, lower of the two	Largest retail broker by active clients for several years; Kite platform; Console reporting; Coin for direct mutual funds; publicly documented tariff
Groww	Discount	Percentage-based or flat depending on current plan	Flat per order	Began as a mutual fund platform; simplified UI aimed at first-time investors
Upstox	Discount	Varies by plan	Flat per order	Multiple plan tiers; API access
Angel One	Hybrid — was full-service, moved to flat-fee	Varies by plan	Flat per order	Large branch and sub-broker network alongside a discount pricing model; in-house research
ICICI Direct	Full-service (bank-linked)	Percentage, with prepaid plans reducing it	Percentage or flat under specific plans	3-in-1 account (bank + trading + demat) with seamless fund movement; extensive research; higher default cost
HDFC Securities	Full-service (bank-linked)	Percentage, with plans	Percentage or plan-based	3-in-1; branch access; research desk
Kotak Securities	Full-service with discount plans	Plan-dependent, including zero-brokerage plans	Plan-dependent	3-in-1; multiple plan tiers

		for specific segments		
5paisa	Discount	Flat per order	Flat per order	Low flat fees; subscription plan options
Dhan, Fyers, Paytm Money and others	Discount	Varies	Flat per order	API-first offerings, trading-focused tooling, differing support models
Motilal Oswal, Sharekhan, IIFL and similar	Full-service	Percentage-based with plans	Percentage or plan	Research-led, advisory and PMS distribution, branch networks

The questions that actually matter when choosing

- ☐ **Is the SEBI registration (INZ...) valid?** Verify on sebi.gov.in and in the exchange member list on nseindia.com and bseindia.com. Also check the exchange's "defaulter / expelled members" list.
- ☐ **What is the all-in cost for *my* pattern?** If you place four delivery buys a year and sell twice, brokerage is nearly irrelevant and DP charges plus AMC dominate. Model your actual usage, not the headline rate.
- ☐ **How does the platform behave on a volatile day?** Indian brokers have had publicised outages during high-volume sessions. Check whether the broker publishes uptime, whether there is a backup web terminal, and whether call-and-trade is reachable. An outage on a normal day is an annoyance; an outage while you hold a leveraged position is a loss.
- ☐ **Is there a genuine escalation path?** A named grievance officer, a published escalation matrix, and a realistic response time. Test it with a trivial query before you fund the account heavily.
- ☐ **Does the broker push products?** Notice whether the app surfaces "trending stocks", F&O prompts, margin offers and streak-style gamification. That design exists to increase your order count, and your order count is their revenue.
- ☐ **Direct or regular mutual funds?** If you plan to buy funds through the broker, confirm the plans are **direct**. Some platforms route to regular plans and earn trail commission.
- ☐ **How easy is it to leave?** Check the closure process and the cost of transferring holdings out (inter-depository or intra-depository transfer charges). SEBI has pushed brokers to simplify this.

- ☐ **Does the broker separate client funds properly?** SEBI requires segregation of client funds and securities, upstreaming of client funds to clearing corporations, and daily/weekly reporting. Read the broker's disclosures.

> ✗ **The protections that exist, and the one that does not**
> SEBI has progressively hardened client-asset protection: **client securities must be held in the client's own demat account** (the Margin Pledge / Re-pledge system replaced the old practice of brokers holding client shares in a pool), client funds must be segregated and upstreamed, and there is a daily reporting regime. Exchanges maintain an **Investor Protection Fund** that compensates investors up to a prescribed limit if a broker is declared a defaulter. What does **not** exist is deposit-insurance-style protection for the market value of your portfolio: if the stock you own falls 80%, no one compensates you. The IPF protects against broker default, not against market loss. Verify the current IPF limit with the relevant exchange.

Multiple brokers — a practical consideration

Many experienced investors keep two broker accounts: a primary one and a dormant backup. The reason is operational, not financial — if the primary platform is down on a day when you need to act, the backup gives you access. The costs are a second AMC (unless waived) and the loss of BSDA eligibility, which requires a single demat account. Weigh that against the value of redundancy for your situation.

Market Timings and Sessions

The Indian equity market is not a continuous 9:15-to-3:30 block. It is a sequence of distinct sessions with different matching rules, and the first fifteen minutes behave entirely differently from the rest of the day. Orders placed without knowing which session you are in produce surprising fills.

> ⚠ **Timings as at late 2026 — verify at nseindia.com / bseindia.com**
> Session timings, the pre-open mechanism and the applicability of the closing session are set by exchange circular and have been changed before. SEBI and the exchanges have also consulted on extending equity derivatives trading hours. Always check the current circular.

The daily schedule for the equity cash segment

Session	Timing (IST)	What happens	Can you place orders?
Pre-open — order entry	09:00 – 09:08	Orders are collected. **No matching occurs.** Orders can be placed, modified and cancelled freely.	Yes — limit and market orders accepted
Pre-open — order matching / price discovery	09:08 – 09:12	The **call auction** runs. A single equilibrium opening price is computed and all matchable orders execute at that one price. No new orders accepted.	No — entry, modification and cancellation are blocked
Buffer	09:12 – 09:15	Transition to continuous trading	No
Normal / continuous session	09:15 – 15:30	Continuous order matching on **price-time priority**. This is where the overwhelming majority of volume trades.	Yes
Closing price computation	15:00 – 15:30	The closing price is the **volume weighted average price (VWAP) of the last 30 minutes** of trading — not the last traded price. This makes the close harder to manipulate.	Normal trading continues
Post-closing / closing session	15:40 – 16:00	Orders can be placed at the **closing price only**. Useful for investors who want to transact at the official close without price risk. Thin liquidity.	Yes, at the closing price

AMO (After Market Order) window	Broker-dependent; commonly from ~15:45 or 16:00 until ~08:45–09:00 next day	Orders are **queued at the broker**, not at the exchange, and pushed into the pre-open or the opening session the next trading day	Yes, subject to broker rules on order type and price band
Block deal windows	Typically a morning window around 08:45–09:00 and an afternoon window around 14:05–14:20 (verify current circular)	Large negotiated trades above a prescribed minimum order size, executed in a separate window within a price band around the reference price	Institutional, in practice

The pre-open call auction, in detail

TEXT

```
HOW THE OPENING PRICE IS DISCOVERED

WHY A CALL AUCTION AT ALL?
  Overnight, news accumulates: results, global markets,
  policy announcements. If trading simply started at 09:15
  with continuous matching, the first few trades would be
  chaotic and easily manipulated. The call auction collects
  ALL the overnight intent and resolves it at ONE price.

THE ALGORITHM (simplified)
  1. Collect all limit and market orders during 09:00–09:08.
  2. For every possible price, compute how many shares
     would trade if that price were chosen.
  3. Choose the price with MAXIMUM EXECUTABLE QUANTITY.
  4. Tie-break 1: the price leaving the minimum unmatched
     quantity.
  5. Tie-break 2: the price closest to the previous close.
  6. ALL matched orders execute at that SINGLE price,
     regardless of the limit price they specified
     (provided it was better than the equilibrium price).

WORKED EXAMPLE

  Previous close: ₹500

  Buy orders collected          Sell orders collected
  ──────────────────────        ──────────────────────
  2,000 @ ₹512 (limit)          1,500 @ ₹505 (limit)
  3,000 @ market                2,500 @ ₹508 (limit)
  1,000 @ ₹506 (limit)          4,000 @ ₹512 (limit)
    800 @ ₹502 (limit)          1,000 @ market

  Test ₹508:
    Willing buyers at ₹508 or above:
       2,000 (@512) + 3,000 (market) = 5,000
    Willing sellers at ₹508 or below:
       1,500 (@505) + 2,500 (@508) + 1,000 (market) = 5,000
    EXECUTABLE QUANTITY = 5,000

  Test ₹506:
    Buyers: 2,000 + 3,000 + 1,000 = 6,000
    Sellers: 1,500 + 1,000 = 2,500
    EXECUTABLE = 2,500

  Test ₹512:
    Buyers: 2,000 + 3,000 = 5,000
    Sellers: 1,500 + 2,500 + 4,000 + 1,000 = 9,000
    EXECUTABLE = 5,000  (tie with ₹508)
```

```
    Tie-break 1: unmatched at ₹512 = 4,000;
                 unmatched at ₹508 = 0
    ₹508 WINS.

  OPENING PRICE = ₹508. All 5,000 shares trade at ₹508.

  The person who bid ₹512 gets filled at ₹508 — BETTER
  than their limit. This is a property of call auctions:
  you never pay worse than your limit, and often better.

KEY PRACTICAL POINTS
  - A MARKET order in the pre-open executes at the
    equilibrium price, whatever it turns out to be.
    In a gap-up or gap-down this can be far from the
    previous close. Use LIMIT orders in the pre-open.
  - Unmatched orders carry forward into the continuous
    session at 09:15 (limit orders retain their price;
    market orders convert to limit at the open price,
    per the current exchange rules).
  - The pre-open applies to the equity cash segment.
    A separate pre-open call auction applies to newly
    listed IPO shares on listing day (see section 12).
```

✦ **Why the first fifteen minutes are the worst time for a beginner to trade**

Volatility and spreads are widest at the open, as overnight information is absorbed and institutional algorithms work large orders. For a long-term investor placing a delivery order, there is no advantage whatsoever to transacting at 09:15 rather than 11:30 or 14:00 — and there is a real disadvantage in wider spreads and more erratic prices. If you must trade on a given day, the middle of the session is generally calmer. Better still: place a limit order and let it fill when it fills.

Other segments and their timings

Segment	Typical timings (IST)	Note
Equity derivatives (F&O)	09:15 – 15:30	No pre-open call auction in the same form; weekly and monthly expiries on specified days
Currency derivatives	09:00 – 17:00	Underlying pairs include USDINR, EURINR, GBPINR, JPYINR
Commodity derivatives (MCX)	09:00 – 23:30 or 23:55 depending on daylight saving in reference markets	Evening session aligns with international commodity markets
Interest rate derivatives	09:00 – 17:00	Based on government securities
Mutual fund transactions	Cut-off times, not sessions	NAV applicability depends on when **funds are realised**, not when the order is placed. Common cut-offs: 15:00 for most schemes, 13:30 for liquid and overnight funds. Verify with the AMC.

Holidays and special sessions

- The exchanges publish an annual **trading holiday list** in advance at nseindia.com and bseindia.com. It is not identical to the bank holiday list, and **settlement holidays** are a separate list again — which matters for when your money actually arrives.
- **Muhurat trading**: a special one-hour (approximately) ceremonial session held on Diwali Laxmi Pujan, treated as the start of the Hindu accounting year Samvat. It is a full trading session — trades settle normally — but volumes are low, spreads are wide, and it is a poor session in which to execute anything meaningful. Treat it as tradition, not as an opportunity.
- **Special live trading sessions**: exchanges occasionally conduct live sessions on a Saturday to test disaster-recovery sites. These are real sessions with real settlement; check the circular before participating.
- **Budget day**: when the Union Budget falls on a Saturday, exchanges have historically conducted a special live session.
- If you hold a position across a long weekend, remember that **settlement** is based on trading days, not calendar days — a Thursday sale may not credit funds until the following Monday or Tuesday if Friday is a holiday.

Orders and the Order Book

The order type you choose determines whether you control your price or your certainty of execution — you cannot have both. Most beginner losses in market mechanics come from a single mistake: using a market order in a stock that does not have enough liquidity to absorb it.

The order types available on Indian exchanges

Order type	What it does	You control	You risk	When it is used
Market	Execute immediately at the best available price(s) in the book	Certainty of execution	**The price.** In a thin book it walks up/down through multiple levels	Highly liquid scrips where the spread is one tick and you need to be done
Limit	Execute only at your specified price or better	The price	Non-execution — the order may sit unfilled all day	**The default for almost every retail situation.**
Stop-loss limit (SL)	Dormant until the **trigger price** is touched; then a **limit** order is released at your limit price	Both trigger and worst price	In a fast gap, price blows through your limit and you are **not filled** — you remain in a losing position	Protecting a position when you want a price floor on the exit
Stop-loss market (SL-M)	Dormant until the trigger is touched; then a **market** order is released	The trigger	The execution price — in a gap you may be filled far below your trigger	When being out matters more than the exit price. Note: SL-M is restricted or disabled in certain segments (notably options) by exchange circular — verify.
Bracket order (BO)	One entry order plus an automatic target (profit-booking) order and a stop-loss, with optional trailing stop. Intraday only.	The structure	Complexity; availability has been curtailed by several brokers after SEBI margin reforms	Intraday trading. Not relevant to investors.

Cover order (CO)	Entry order with a **compulsory** stop-loss, which allows the broker to grant higher intraday leverage	Entry and a mandatory stop	Leverage. Availability varies.	Intraday trading. Not relevant to investors.
GTT (Good Till Triggered)	A **broker-side** standing instruction, valid for up to a year (commonly 365 days), that places an order when a trigger price is reached	Long-dated automation without daily re-entry	It is NOT an exchange order until triggered — if the broker's system fails, it does not fire. Also, it does not block margin until triggered.	"Buy if it falls to X" or "sell if it reaches Y" over months
AMO (After Market Order)	Order queued overnight at the broker, submitted at the next session's start	Convenience	You are pushing an order into the most volatile part of the day	When you can only act outside market hours. Use a limit, never a market AMO.
Iceberg / disclosed quantity	Shows only part of your order quantity to the market; the rest refills as the visible part executes	Information leakage	Slower execution; a minimum disclosed quantity applies per exchange rules	Large orders in moderately liquid scrips

Validity and product types

Setting	Options	Meaning
Validity	DAY	Order lives until 15:30 today, then is cancelled automatically. The default.
	IOC (Immediate or Cancel)	Execute whatever can be executed *right now*; cancel the remainder instantly. Partial fills are possible.
	GTT / GTD	Broker-side persistence across days (see above). Indian exchanges do not support true multi-day GTC orders in the cash segment.
Product type	**CNC** (Cash and Carry) / Delivery	**This is what an investor uses.** Full payment, shares are delivered to your demat, no auto square-off, you can hold indefinitely.
	MIS (Margin Intraday Square-off)	Intraday only. Higher leverage, and the broker **automatically squares off** your position around 15:10–15:20 whether you like it or not, charging an auto square-off fee.
	MTF (Margin Trading Facility)	Buy delivery shares with borrowed money at 12%–18% annualised interest. The broker can liquidate your position if the margin falls short.
	NRML	Carry-forward positions in F&O.

✕ **The accidental intraday trade — the most common beginner mechanical error**
You intend to buy and hold. You tap through the order screen without changing the default product type, and the broker's app has **MIS** selected because it was the last one you used, or because it is the default on that screen. At 15:15 the system automatically sells your position, charges you brokerage on both legs, STT, and a ₹50 auto square-off fee — and you own nothing. **Always verify the product type says CNC or Delivery before confirming.** Make it a physical habit: read the product type aloud before you tap confirm.

Reading the order book / market depth

TEXT

```
MARKET DEPTH — WHAT YOU SEE AND WHAT IT MEANS
Indian exchanges disseminate the best 5 bid and 5 ask levels
to retail terminals (20-level depth is available to some
institutional feeds).

SCRIP: a liquid largecap          LTP: ₹1,248.60

   BID (buyers)                  ASK (sellers)
   Orders  Qty      Price        Price      Qty     Orders
   ──────  ─────    ────────     ────────   ─────   ──────
      14   4,280    1,248.50     1,248.60   3,910      11
      22   9,150    1,248.40     1,248.70   7,620      19
      18   6,700    1,248.30     1,248.80   5,440      16
      31  12,900    1,248.20     1,248.90  11,200      24
      27  10,350    1,248.10     1,249.00   9,880      21
   ──────  ──────                          ──────
   TOTAL  43,380                          38,050

   SPREAD = 1,248.60 − 1,248.50 = ₹0.10  (0.008%)

WHAT THIS TELLS YOU
  - The spread is one tick. This stock is deeply liquid.
  - A market buy of 3,000 shares fills entirely at ₹1,248.60.
  - A market buy of 15,000 shares fills at a BLENDED price:
       3,910 @ 1,248.60 = ₹48,82,026
       7,620 @ 1,248.70 = ₹95,15,094
       3,470 @ 1,248.80 = ₹43,33,336
       ──────────────────────────────
      15,000 shares      ₹1,87,30,456
      Average = ₹1,248.70  (slippage: ₹0.10 or 0.008%)

NOW THE SAME ORDER IN A THIN SMALLCAP

SCRIP: an illiquid smallcap       LTP: ₹86.40

   BID                           ASK
   Orders  Qty      Price        Price     Qty     Orders
      2      400    86.10        86.75       250      1
      1      150    85.80        87.20       300      2
      3    1,100    85.20        88.00       800      2
      1      600    84.50        89.50     1,200      1
      2      900    83.00        91.75     2,000      3
   TOTAL   3,150                          4,550

   SPREAD = 86.75 − 86.10 = ₹0.65  (0.75%)

  A MARKET BUY of 3,000 shares:
       250 @ 86.75 = ₹ 21,687.50
```

```
        300 @ 87.20 = ₹ 26,160.00
        800 @ 88.00 = ₹ 70,400.00
      1,200 @ 89.50 = ₹1,07,400.00
        450 @ 91.75 = ₹ 41,287.50
        ──────────────────────────
      3,000 shares    ₹2,66,935.00
      AVERAGE PRICE = ₹88.98

      You "saw" ₹86.40 and paid ₹88.98.
      SLIPPAGE = ₹2.58 per share = 2.99% = ₹7,740 LOST
      INSTANTLY, before any price movement.

  AND NOW TRY TO SELL IMMEDIATELY:
      The best bid is ₹86.10. Selling 3,000 shares into
      a book with 3,150 shares of total bid depth would
      take you down to ₹83.00.
      Round-trip cost: roughly 7%, excluding brokerage,
      STT and other charges.

THIS IS IMPACT COST, AND IT IS THE REAL RISK OF SMALLCAPS —
not volatility, but the inability to transact size without
moving the price against yourself.
```

Impact cost — the metric nobody checks

> **Impact cost is published, and you can look it up**
>
> NSE publishes **impact cost** for securities — the percentage cost of executing a standard order size (historically ₹1 lakh for index eligibility purposes) relative to the ideal mid-price. It is one of the criteria for inclusion in the Nifty 50 and other indices. A stock with an impact cost of 0.02% is deeply liquid; one with 1.5% is not. Before buying anything outside the large-cap universe, check its average daily traded value and its delivery percentage on nseindia.com. If the stock trades ₹80 lakh a day and you want to buy ₹5 lakh, you are a meaningful part of the day's volume — and getting out will be harder than getting in.

TEXT

```
LIQUIDITY CHECKLIST BEFORE BUYING ANY STOCK

  [ ] Average daily traded VALUE over the last month
        > ₹25 crore   : comfortably liquid for retail size
        ₹2–25 crore   : workable, use limit orders only
        < ₹2 crore    : treat your position as hard to exit
  [ ] Your intended position as a % of average daily value
        Keep it under 5%, ideally under 1%
  [ ] Bid-ask spread as a % of price
        < 0.1%  : fine
        0.1–0.5%: use limits, expect friction
        > 0.5%  : the round trip costs more than a year of
                  dividend yield
  [ ] Delivery percentage (NSE publishes this daily)
        Low delivery % = speculative churn, not investment
  [ ] Number of trading days in the last month with ZERO volume
        Any = serious warning
  [ ] Is it in a circuit-limited band (2%, 5%, 10%)?
  [ ] Is it in the ASM / GSM surveillance framework? (section 8)
  [ ] Is it in the Trade-to-Trade (T2T / BE) segment?
        If yes, NO intraday is allowed and every trade must
        result in delivery.
```

The rules that govern matching

1. **Price priority**
   The better price always executes first. A bid of ₹500.25 is ahead of a bid of ₹500.20 regardless of when each arrived.

2. **Time priority**
   Among orders at the same price, the one entered first executes first. This is why modifying an order's price sends it to the back of the queue at the new price.

3. **Tick size**
   The minimum price increment. SEBI and the exchanges moved to a graded tick size regime where the tick depends on the price band of the stock — ₹0.01 for lower-priced scrips with finer increments for very low-priced ones. Verify the current tick-size circular.

4. **Price bands**
   An order outside the applicable circuit band is rejected by the exchange, not held. See section 8.

5. **Order quantity limits**

Exchanges set a maximum order value and quantity per order for each scrip. Large orders must be split.

6 **Anonymity**

You never learn who the counterparty is, and they never learn who you are. This is a deliberate design choice that prevents counterparty discrimination.

✦ **The practical rule for a long-term investor**

Use **limit orders**, in the **CNC/delivery** product type, in the **middle of the session**, in stocks or ETFs with **meaningful daily volume**. Set the limit at or very slightly above the best ask if you want a near-certain fill, or at the mid-price if you are patient. You give up the thrill of instant execution and you keep the 0.5%–3% that a market order in a thin book would have taken from you. Over a lifetime of transactions, this single habit is worth more than most stock selection.

ETF-specific order hazards

TEXT

```
WHY MARKET ORDERS IN ETFs ARE ESPECIALLY DANGEROUS

An ETF has an underlying fair value — the iNAV (indicative
Net Asset Value) — published by the AMC and the exchange
through the trading day. In a liquid ETF the market price
tracks iNAV closely because authorised participants arbitrage
any gap.

In an ILLIQUID Indian ETF, that arbitrage can break down:
  - low on-screen volume
  - wide spreads (sometimes 1–3%)
  - occasional "freak trades" far from fair value
  - in capped international ETFs, SUSTAINED PREMIUMS of
    5–20% above iNAV, because the AMC cannot create new
    units while the overseas investment limit is breached

CONSEQUENCE
  A market order can execute 10% above fair value. You have
  paid ₹110 for ₹100 of assets, and that ₹10 does not come
  back — it erodes as the premium normalises.

WHAT TO DO
  1. Find the iNAV. The AMC publishes it; the exchange
     displays it on the quote page.
  2. Compare the market price to the iNAV. If the premium
     is more than about 0.5%, do not transact.
  3. ALWAYS use a limit order, set near the iNAV.
  4. Check the ETF's average daily traded value. Some listed
     Indian ETFs trade a few lakh rupees a day.
  5. If the ETF is persistently at a large premium, consider
     whether an equivalent INDEX FUND (bought at NAV, no
     premium, no spread) solves the same problem.
```

Settlement

Settlement is the process by which the trade you executed becomes an actual transfer of shares and money. India runs one of the fastest settlement cycles in the world, and understanding it answers a cluster of beginner questions: why the money is not in my bank, why I cannot sell what I just bought in certain segments, and what "auction" means on my contract note.

⚠ **Settlement cycle as at late 2026 — verify at sebi.gov.in**

India completed its phased transition to a **T+1** rolling settlement cycle for the equity cash segment in January 2023. SEBI subsequently introduced an **optional T+0 (same-day) settlement** cycle for a specified set of scrips in a beta phase from March 2024, with a stated intention to expand it. The scope, scrip list and broker participation in T+0 have evolved; a move toward optional instantaneous settlement has also been discussed. **Check the current circular** — the mechanics below describe the framework, not a guaranteed current state.

T+1, explained

TEXT

```
T+1 ROLLING SETTLEMENT — THE TIMELINE

  T   = trade day (the day your order executes)
  T+1 = the NEXT TRADING DAY (holidays do not count)

DAY T
  09:15–15:30  You buy 100 shares at ₹1,248.60
               Trade value ₹1,24,860
  By end of day
               Exchange sends trade file to the clearing
               corporation. NOVATION occurs.
               Obligations are computed and NETTED per
               clearing member.
  By 24:00     Your broker issues the CONTRACT NOTE
               (digitally signed, by email). SEBI requires
               it within 24 hours of the trade.

DAY T+1
  Early morning
               PAY-IN: funds are debited from buyers'
               clearing members; securities are debited
               from sellers' demat accounts.
  By afternoon
               PAY-OUT: the clearing corporation credits
               securities to buyers and funds to sellers.
  By ~13:30–15:30 (varies)
               Shares appear in YOUR DEMAT ACCOUNT.
               You are now the legal owner of record.

WHAT THIS MEANS PRACTICALLY

  BUYING
    You can SELL the shares you bought on day T at any time
    on day T itself (intraday) or on T+1 — the exchange
    permits selling before the shares physically arrive,
    because the obligation already exists. In the cash
    segment this is normal "BTST" (Buy Today Sell Tomorrow).
    BTST carries SHORT DELIVERY RISK: if the person who
    sold to you fails to deliver, you cannot deliver to
    your buyer, and YOU go to auction. See below.

  SELLING
    Shares leave your demat on T+1 morning.
    Funds are credited to your TRADING account on T+1.
    Transferring from the trading account to your BANK
    account is a SEPARATE step that typically takes one
    more working day.
```

```
    So: sell on Monday → funds usable for new trades
    almost immediately (as margin), but in your BANK
    account typically Wednesday.

  ACROSS A HOLIDAY
    Sell on Thursday, Friday is a holiday
    → T+1 is Monday. Funds reach the bank Tuesday.
    Plan accordingly if you need money for a specific date.
```

T+0 — the optional same-day cycle

Aspect	T+1 (standard)	T+0 (optional, where available)
Settlement	Next trading day	Same day, in a defined session
Scrip coverage	All scrips	A specified list, expanded in phases
Session window	Full session	A separate, shorter window (initially 09:15–13:30, with a price band linked to the T+1 price — verify current rules)
Broker participation	Universal	Optional — not every broker offers it
Who benefits	Everyone	Investors who want immediate funds availability; reduces counterparty and margin requirements
Trade-off	Netting benefits, deep liquidity	Requires funds and securities fully available upfront; liquidity in the T+0 window is thinner

Short delivery and auction settlement

TEXT

```
WHAT HAPPENS WHEN A SELLER FAILS TO DELIVER

THE SITUATION
  Someone sold shares they did not actually have in their
  demat account at pay-in time. Causes:
    - BTST gone wrong (they were themselves short-delivered)
    - Shares were pledged and not released in time
    - Operational error at the DP
    - Deliberate naked short selling (prohibited for
      retail in the Indian cash segment)

THE CLEARING CORPORATION'S RESPONSE
  It does NOT leave the buyer short. It runs an AUCTION
  on T+1 (under T+1 settlement the auction session has
  been moved to align with the shorter cycle — verify the
  current timing with the exchange).

  In the auction, the clearing corporation BUYS the missing
  shares from other market participants who offer them, and
  delivers them to the buyer who was short-delivered.

WHO PAYS
  The DEFAULTING SELLER pays. The cost is:
     auction purchase price  +  penalty
  and the penalty structure is deliberately punitive.

THE CLOSE-OUT FORMULA (indicative — verify current rules)
  If no shares are available in the auction, the trade is
  "closed out" and the defaulting seller pays the buyer
  a price computed as the HIGHER of:
     (a) the highest price of the scrip from the trade day
         to the auction day, PLUS a markup (historically 20%
         for the cash segment close-out), or
     (b) the closing price on the auction day plus the markup

  In practice, failing to deliver can cost the seller
  20% or more above the market price, plus the auction
  penalty levied by the exchange.

WORKED EXAMPLE
  You sell 200 shares on Monday at ₹640 (BTST — you bought
  them Monday morning and had not received delivery).
  Your seller short-delivers to you, so you cannot deliver.

  Auction on T+1. Highest price Monday-Tuesday: ₹672.
  Close-out price = 672 x 1.20 = ₹806.40
  You receive your sale proceeds of ₹1,28,000
  You are debited ₹1,61,280
```

```
  NET LOSS: ₹33,280 on a ₹1,28,000 trade,
  with no price movement against you at all.

HOW TO NEVER FACE THIS
  1. Do not sell shares you have not received in demat.
     Wait for the credit. One day of patience.
  2. If you must do BTST, do it only in highly liquid
     largecaps where short delivery is vanishingly rare.
  3. Never sell pledged shares without first unpledging.
  4. Check your demat holdings, not just the broker app's
     "holdings" view, which may show T+1 positions.

SEBI's upfront securities-verification framework (early
pay-in or pledge to the clearing corporation at the time
of sale) has made retail short delivery much rarer than
it once was — but BTST still carries the risk.
```

The ASBA-like block mechanism for the secondary market

> **UPI block (ASBA for secondary market trading)**
> SEBI introduced a facility under which a retail investor's funds remain **blocked in their own bank account** through a UPI mandate rather than being transferred to the broker, with the blocked amount debited only on settlement. This is the same principle that already governs IPO applications (where the money stays in your account until allotment). The intent is to remove the need to park funds with a broker at all, eliminating a category of broker-default risk. Adoption has been phased and participation varies by broker. Check whether your broker supports it and verify the current framework at **sebi.gov.in**. For an investor who transacts rarely, this materially reduces counterparty exposure.

Mutual fund settlement — different rules

Transaction	NAV applicable	Money / units timing
Equity fund purchase	NAV of the day on which **funds are realised** by the AMC before the 15:00 cut-off — not the day you placed the order	Units allotted T+1
Liquid / overnight fund purchase	Cut-off 13:30; NAV of the **previous** day applies if funds are realised before cut-off	Units T+1
Equity fund redemption	NAV of the day the request is received before cut-off	Funds credited within T+3 working days (SEBI norm); most AMCs are faster
Debt fund redemption	Same	Typically T+1
Liquid fund instant redemption	Applicable NAV	Up to ₹50,000 or 90% of folio value per day per scheme, credited within minutes via IMPS

Can I sell shares the same day I buy them, in the delivery (CNC) product type?

✦ **The most common SIP confusion**

Your SIP debit date and your **NAV allotment date** are different. The money leaves your bank on the mandate date, the AMC receives it a day or two later depending on the payment rail, and units are allotted at the NAV of the day the funds are *realised*. In a volatile week this can mean a 2% difference from the NAV you expected. It is not an error and it averages out over years. If you want certainty of the allotment date, check your AMC's stated realisation timelines.

Price Limits and Surveillance

Indian exchanges do not allow prices to move without limit. Circuit filters cap daily movement in individual scrips, index-level circuit breakers halt the entire market, and a layered surveillance framework progressively restricts trading in stocks showing

manipulative or speculative patterns. These mechanisms protect you — and they can also trap you.

Scrip-level circuit filters

Band	Who gets it	Effect
No band (only a dynamic/operating range)	Scrips in the F&O segment, and index constituents	No daily cap, but a dynamic price band (commonly ±10% from the last traded price) that flexes after a cooling-off period if trading sustains at the limit
20%	Most liquid non-F&O scrips	Price cannot move more than 20% above or below the previous close
10%	Scrips under moderate surveillance	As above, at 10%
5%	Scrips under heightened surveillance or in specified surveillance measures	As above, at 5%
2%	The most restricted scrips, typically in GSM or long-term ASM	As above, at 2%. In practice this means a stock can take many sessions to move a meaningful amount.

✕ **What a lower circuit actually means for you**

When a stock hits its **lower circuit**, the price cannot go lower that day — but that is not protection. It means **there are no buyers at any permitted price**. The order book shows a huge pending sell quantity and essentially nothing on the bid. **You cannot sell.** If the stock opens at the lower circuit again the next day, and the next, you watch your holding fall 5% or 10% or 20% a day for a week or more while being completely unable to exit. This is the mechanism by which pump-and-dump victims and holders of a company hit by a fraud disclosure lose most of their money. It is also why liquidity, not volatility, is the real risk in small companies.

Index-level circuit breakers

TEXT

MARKET-WIDE CIRCUIT BREAKERS — INDIA
Triggered by movement in EITHER the Nifty 50 OR the Sensex, whichever breaches first. Based on the previous day's close.
As at late 2026 — verify at sebi.gov.in / nseindia.com.

TRIGGER	TIME OF BREACH	HALT DURATION
10%	before 13:00	45 minutes + 15 min pre-open
10%	13:00 to 14:30	15 minutes + 15 min pre-open
10%	after 14:30	NO HALT — trading continues
15%	before 13:00	1 hour 45 minutes + 15 min pre-open
15%	13:00 to 14:00	45 minutes + 15 min pre-open
15%	after 14:00	REST OF THE DAY
20%	any time	REST OF THE DAY

The halt applies across ALL segments — equity, derivatives, currency.

HISTORICAL INSTANCES: the mechanism was triggered in March 2020 during the COVID crash, and in earlier episodes including May 2004 and January 2008. It is rare and it is designed to be.

PURPOSE: to interrupt a cascade, allow information to disseminate, and let participants arrange funding — not to prevent losses.

The surveillance frameworks — ASM, GSM and T2T

⚠ **Framework details as at late 2026 — criteria change**
The Additional Surveillance Measure (ASM) and Graded Surveillance Measure (GSM) frameworks are jointly operated by SEBI and the exchanges, and their entry criteria, stages and margin requirements are revised by circular. Current lists and criteria are published daily on **nseindia.com** and **bseindia.com**.

	ASM — Additional Surveillance Measure	GSM — Graded Surveillance Measure
Purpose	Curb excessive **speculation and volatility** in a stock, usually one that has run up sharply on high volume	Alert investors to stocks whose **price is not supported by financial fundamentals** — low net worth, low earnings, poor or negative book value
Trigger	A combination of price variation, volume variation, number of unique PANs, client concentration, close-to-close movement, and volatility	Primarily financial parameters: net worth, net fixed assets, P/E ratio versus the market, book value — combined with price movement
Stages	Short-term ASM (Stages I–IV) and Long-term ASM (Stages I–IV)	Stages I–VI, escalating
Typical restrictions	100% margin requirement; price band reduced to 5% or 2%; possible move to trade-for-trade	Stage I: trade-for-trade with a 5% band. Higher stages: **periodic call auction** (trading only once a week or once a month), 100% margin, and an **Additional Surveillance Deposit** of up to 100% of trade value held by the exchange for months
What it means if you hold it	Your ability to trade is constrained; the 100% margin requirement means no leverage; exiting takes longer	**Serious.** At higher GSM stages the stock may trade only in a periodic call auction once a week. You may be unable to sell for days at a time. A 100% additional deposit may be blocked when you transact.

Trade-for-Trade (T2T) / "BE" series	
What it is	A settlement category in which **every trade must result in delivery**. No intraday netting is permitted — if you buy and sell the same scrip the same day, both legs settle separately and you must deliver the shares you sold.
Why stocks are placed there	To stop speculative churn. Often applied alongside ASM/GSM, and to newly listed or thinly traded scrips.
The trap	If you buy a T2T scrip and sell it the same day without having the shares, you will be **short-delivered to auction** and face the close-out penalty described in section 7.
How to spot it	The scrip appears in the "BE" series on NSE or the "T" group on BSE. Your broker's quote page shows the series. Check before trading anything unfamiliar.

✦ **Make this a pre-purchase habit**
Before buying any stock you have not bought before, spend sixty seconds checking: (1) the series — EQ versus BE; (2) whether it appears on today's ASM or GSM list on nseindia.com; (3) its circuit band; (4) its average daily traded value. A stock in GSM Stage IV with a 2% band and ₹40 lakh daily turnover is not an investment, it is a position you cannot exit. This check costs a minute and prevents the single worst category of retail mechanical loss.

If a stock I hold enters GSM, should I sell immediately?

Indices Explained

An index is a rule-based portfolio, maintained by a committee, designed to represent a defined slice of the market. Understanding how the Nifty 50 and the Sensex are constructed explains what you are actually buying when you buy an index fund — and why index changes move stock prices.

The two headline indices

	Nifty 50	S&P BSE Sensex
Managed by	NSE Indices Ltd (a subsidiary of NSE)	Asia Index Pvt Ltd (historically a BSE and S&P Dow Jones joint venture)
Number of constituents	50	30
Base	Base date 3 November 1995, base value 1,000	Base year 1978-79, base value 100
Weighting method	**Free-float market capitalisation**	**Free-float market capitalisation**
Review frequency	Semi-annual, with changes typically effective in March and September; ad-hoc changes on corporate events	Semi-annual, with changes typically effective in June and December
Single-stock cap	Capping rules apply to comply with diversification norms for index funds and ETFs — verify the current methodology document	Similar capping considerations
Eligibility criteria	Listed on NSE, part of the Nifty 100 universe, F&O eligible, impact cost below a threshold for a specified order size, minimum listing history, minimum free-float market cap	Listed on BSE, trading frequency, rank by free-float market cap, sector representation, listing history
Where to read the rules	niftyindices.com — methodology documents are public and free	asiaindex.co.in / spglobal.com

Free-float market capitalisation, worked

TEXT

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HOW INDEX WEIGHTS ARE CALCULATED

  TOTAL market cap   = share price x TOTAL shares outstanding
  FREE-FLOAT market  = share price x shares AVAILABLE for
     cap               public trading
                     = total shares MINUS promoter holding,
                       government holding, strategic stakes,
                       locked-in shares, FDI-restricted shares

WHY FREE FLOAT?
  If a company has 100 crore shares but the promoter holds
  75 crore and will never sell, only 25 crore shares can
  actually be bought by an index fund. Weighting by total
  market cap would force index funds to try to buy shares
  that do not exist in the market.

WORKED — A SIMPLIFIED 4-STOCK INDEX

  Company   Price   Total shares  Promoter   Free-float
                    (crore)       holding    factor
  _______   _____   ____________  ________   _________
  A        ₹3,200      600          26%        0.74
  B        ₹1,450    1,200          43%        0.57
  C        ₹  890      850          12%        0.88
  D        ₹  410    2,400          68%        0.32

  FREE-FLOAT MARKET CAP
  A: 3,200 x 600 x 0.74   = ₹14,20,800 crore
  B: 1,450 x 1,200 x 0.57 = ₹ 9,91,800 crore
  C:   890 x 850 x 0.88   = ₹ 6,65,720 crore
  D:   410 x 2,400 x 0.32 = ₹ 3,14,880 crore
                            ____________________
  TOTAL                     ₹33,93,200 crore

  INDEX WEIGHTS
  A: 14,20,800 / 33,93,200 = 41.87%
  B:  9,91,800 / 33,93,200 = 29.23%
  C:  6,65,720 / 33,93,200 = 19.62%
  D:  3,14,880 / 33,93,200 =  9.28%

  NOTE COMPANY D: it has the MOST shares outstanding
  (2,400 crore) but the SMALLEST index weight, because
  68% is promoter-held and unavailable.

INDEX VALUE
  Index = (current free-float mcap / base free-float mcap)
          x base index value
          x divisor adjustments for corporate actions
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THE DIVISOR
  When a constituent is replaced, or issues new shares, or
  does a buyback, the index's market cap changes for reasons
  unrelated to price. A DIVISOR is adjusted so the index
  value does not jump. This is why an index level is a
  continuous series despite constant constituent changes.

CONSEQUENCE FOR AN INDEX INVESTOR
  You own the index in these weights. In the Nifty 50, the
  top 10 stocks have historically accounted for roughly
  55–60% of the index, and financial services has often
  been the largest sector at 30–38%. "Diversified" in an
  index sense does NOT mean equal-weighted. Read the current
  factsheet on niftyindices.com to see today's concentration.
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Price return versus total return

TEXT

PRI vs TRI — THE DIFFERENCE IS THE DIVIDEND

PRICE RETURN INDEX (PRI)
Tracks only price movement. When a constituent goes ex-dividend, its price drops by the dividend amount and THE INDEX FALLS. The dividend is simply lost from the index.

TOTAL RETURN INDEX (TRI)
Assumes every dividend is reinvested into the index on the ex-date. Captures the full economic return.

THE GAP = the dividend yield, compounded.

Indian large-cap dividend yield has typically run around 1.0%–1.5%. Over long periods this compounds meaningfully:

Over 20 years at a 1.3% annual gap:
(1.013)^20 = 1.294
TRI ends 29.4% higher than PRI

WHY THIS MATTERS TO YOU

1. The "Nifty 50" level you see on TV and in news headlines is the PRICE return index. Your index FUND, however, receives and reinvests dividends, so its NAV should track the TOTAL return index.
2. SEBI requires mutual funds to benchmark against TRI, precisely because comparing a fund (which gets dividends) against PRI (which does not) flattered active managers by roughly 1–1.5% a year. This rule change in 2018 materially changed how many funds appeared to "beat the index".
3. When someone claims a fund "beat the Nifty", ask: beat the PRI or the TRI? The answer changes the conclusion in many cases.

The Indian index family

Index	Universe	Construction	Character
Nifty 50	Top 50 by free-float market cap from the Nifty 100	Free-float cap weighted	The large-cap benchmark. Heavily weighted to financials.
Nifty Next 50 (Junior Nifty)	Companies ranked 51–100	Free-float cap weighted	The "on-deck" large caps. Historically more volatile than the Nifty 50; a feeder pool for index entry.
Nifty 100	Nifty 50 + Next 50	Free-float cap weighted	The full large-cap universe per SEBI's definition
Nifty Midcap 150	Companies ranked 101–250	Free-float cap weighted	SEBI's mid-cap universe
Nifty Smallcap 250	Companies ranked 251–500	Free-float cap weighted	SEBI's small-cap universe. Materially less liquid.
Nifty 500	Top 500 by full market cap	Free-float cap weighted	Covers roughly 90%+ of NSE listed market cap. The broadest common benchmark.
Nifty Microcap 250	Ranked 501–750	Free-float cap weighted	Very low liquidity; impact costs are high
Nifty Bank, Nifty IT, Nifty Pharma, Nifty Auto, Nifty FMCG, Nifty Metal, Nifty Realty, Nifty Energy	Sectoral	Cap weighted within sector, with caps	Concentrated by construction. Nifty Bank is among the most traded derivatives underlyings in the world.
Nifty Next 50, Nifty Midcap Select, Nifty Financial Services	Derivatives-enabled subsets	Varies	Created largely to support F&O products
Thematic: Nifty India Consumption, Nifty Infrastructure, Nifty PSU Bank, Nifty CPSE, Nifty Commodities, Nifty India	Rule-based themes	Varies	Usually launched after a theme has performed. Read the methodology before assuming what is inside.

Defence, Nifty India Manufacturing			
Factor / smart beta: Nifty 50 Equal Weight, Nifty 200 Momentum 30, Nifty 100 Low Volatility 30, Nifty 200 Quality 30, Nifty 500 Value 50, Nifty Alpha 50	Rule-based factor tilts	Scored and ranked on a defined factor, rebalanced periodically	Systematic tilts away from cap weighting. Backtests look attractive; live results and turnover costs matter more. Read the methodology and the rebalance frequency.
Debt: Nifty G-Sec indices, Nifty SDL indices, Nifty PSU Bond Plus SDL	Government and quasi-government bonds	Rule-based	Underlie target maturity funds and debt index funds

Index rebalancing and its market impact

TEXT

WHAT HAPPENS WHEN A STOCK ENTERS OR EXITS AN INDEX

THE MECHANISM

Index funds and ETFs tracking the index MUST hold the constituents in index weights to minimise tracking error. When the index changes, they must trade — and they must trade AT or very near the effective date, because that is when the index itself changes.

This is FORCED, PRICE-INSENSITIVE demand or supply.

THE TYPICAL PATTERN

1. ANNOUNCEMENT (usually 4 weeks before effective date)
   NSE Indices publishes the inclusions and exclusions.
2. ANTICIPATION PHASE
   Traders who had positioned in advance, and those who react to the announcement, buy the incoming stock and sell the outgoing one. The incoming stock often rises several percent over the following weeks.
3. EFFECTIVE DATE
   Index funds execute, usually at or near the closing price of the day before the change takes effect (to match the index's own calculation). Volume on that close can be many multiples of a normal day.
4. REVERSAL
   Academic work across markets has repeatedly found that a significant part of the inclusion gain reverses over the following weeks, because the demand was technical rather than fundamental.

HOW LARGE IS THE FLOW?

If total assets tracking the Nifty 50 are, say, ₹X crore, and the new entrant has a 0.9% index weight, then index funds must collectively buy 0.9% of ₹X crore of that stock, within a narrow window. For a mid-sized company this can be many days of its normal volume.

WHAT IT MEANS FOR YOU

- If you hold an index FUND, rebalancing happens inside the fund. You do nothing. The cost appears as a small amount of tracking difference.
- Buying a stock purely because it is "entering the Nifty" is a crowded, well-known trade with documented post-inclusion reversal. It is speculation on a technical flow, not investing.
- Index inclusion does NOT make a company better. The business is identical the day before and the day after.

```
THE SAME LOGIC APPLIES TO:
  - MSCI and FTSE index reviews, which drive FOREIGN
    passive flows into Indian stocks on announced dates
  - Changes in free-float factors (a promoter selling a
    stake raises the free float and therefore the weight)
  - F&O inclusion/exclusion lists
```

> ℹ **Tracking error and tracking difference**
> Two different things, often confused. **Tracking difference** is the gap between the fund's return and the index's return over a period — driven by the expense ratio, cash drag, rebalancing costs and securities lending income. It is the number that affects your wealth. **Tracking error** is the *volatility* of that gap — the standard deviation of the daily return differences. A fund can have low tracking error and still consistently lag by 0.7% a year. When comparing index funds, look at the **tracking difference over 3 and 5 years**, which several AMCs now disclose, and at the expense ratio. A broad index fund with a 0.10% expense ratio and 0.15% tracking difference is doing its job.

Market Capitalisation Categories

"Large cap", "mid cap" and "small cap" are not descriptive adjectives in India — they are precise regulatory definitions that determine what a mutual fund with that label is legally allowed to hold. The differences between the categories are differences in kind, not just in degree.

SEBI's definitions

> ⚠ **As at FY 2025-26 — the list is revised every six months**
> SEBI's categorisation circular defines the categories by rank. **AMFI publishes the official list** of large, mid and small cap companies twice a year, based on the average full market capitalisation over the preceding six months, and mutual funds must rebalance to comply within a specified period. The current list is at **amfiindia.com**.

Category	SEBI definition	Indicative market cap range	Number of companies
Large cap	Ranks **1 to 100** by full market capitalisation	Roughly ₹1,00,000 crore and above at the lower boundary (varies with each revision)	100
Mid cap	Ranks **101 to 250**	Roughly ₹33,000–₹1,00,000 crore (varies)	150
Small cap	Rank **251 onwards**	Below roughly ₹33,000 crore (varies)	Several thousand listed companies
Micro cap (not a SEBI category)	Informally, the bottom of the small cap universe — ranks beyond ~500	Under a few thousand crore	Thousands

Characteristics compared

Dimension	Large cap	Mid cap	Small cap
Business maturity	Established, multi-decade, usually leaders in their sector	Growing, often sector leaders in a niche or challengers in a large market	Early-stage, cyclical, regional, or structurally subscale. Also includes shells and troubled companies.
Analyst coverage	20–40 analysts; information is widely disseminated	5–15 analysts	Often **zero** coverage. Information asymmetry is large.
Liquidity	Hundreds of crore traded daily; impact cost near zero	Tens of crore; impact cost noticeable on size	Often under ₹5 crore; **impact cost is the dominant risk**
Typical drawdown in a bear market	-35% to -50%	-45% to -60%	**-55% to -70%**, and individual names routinely -80% or more
Recovery time from a deep drawdown	1–2 years historically	2–4 years	3–6 years, and many never recover because the *business* did not survive
Corporate governance risk	Lower, though not zero — large Indian companies have had governance failures	Moderate	**High.** Related-party transactions, promoter pledging, auditor resignations, accounting irregularities are concentrated here.
Promoter pledging	Generally low	Variable	Often significant, and a pledge invocation can crash the price
Surveillance exposure	Rare	Occasional	**Common.** Most ASM/GSM entries are small caps.
Index eligibility	Nifty 50, Nifty 100	Nifty Midcap 150	Nifty Smallcap 250 covers only ranks 251–500; most small caps are in no index at all

Return potential	Steady compounding, dividend support	Higher growth, higher dispersion	Highest dispersion — a handful of enormous winners and a very large number of permanent losers

Why small-cap drawdowns are different in kind, not just in degree

A large-cap decline is a *price* event: the business continues, institutions keep trading, and you can always exit at a fair price. A small-cap decline is frequently a **liquidity** event: the buyers disappear entirely, the stock hits successive lower circuits, and you cannot transact at any price for days. Add the fact that a meaningful proportion of small caps are not merely cheap but are businesses that will not survive — and that the index you see (Nifty Smallcap 250) is **survivorship-adjusted**, because failed companies are removed and replaced. The index's historical return therefore materially overstates what a buy-and-hold small-cap stock picker would have experienced. This is not an argument that small caps should be avoided; it is an argument that they should be held through a **diversified fund or index**, sized deliberately, with a horizon long enough to survive a 4-year drawdown.

TEXT

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THE ARITHMETIC OF A DEEP DRAWDOWN

  Decline      Gain required to get back to even
   -10%                  11.1%
   -20%                  25.0%
   -30%                  42.9%
   -40%                  66.7%
   -50%                 100.0%
   -60%                 150.0%
   -70%                 233.3%
   -80%                 400.0%
   -90%                 900.0%

A small cap that falls 80% needs to QUINTUPLE just to
return you to your entry price. If the business took
four years to fall and four more to recover, you have
spent eight years earning zero while an index fund
compounded at 10% and roughly doubled.

This asymmetry is the core argument for diversification
and against concentration in the lowest-quality, least
liquid part of the market.
```

Corporate Actions and What They Do to Your Holdings

A corporate action is anything a company does that changes the shares you hold or pays you something on account of them. Most are value-neutral on the day — the market adjusts the price mechanically — and understanding that prevents a lot of confused panic when your holding suddenly shows a 50% "loss" the morning after a stock split.

The dates that matter

Term	Definition	Why it matters
Board meeting date	When the board approves the action and announces it to the exchanges	The price typically reacts here, on the news
Record date	The date on which the company's register (maintained by the RTA) is frozen to determine who is entitled	You must be a **registered holder** on this date
Ex-date	The first day the stock trades **without** the entitlement. Under T+1 settlement, **the ex-date and the record date are now the same day** for most actions.	**You must BUY before the ex-date** — buying on the ex-date does not entitle you
Book closure	A period during which the register is closed for transfers (less common now that holdings are dematerialised)	Mostly historical relevance
Payment / credit date	When the dividend reaches your bank or the new shares reach your demat	Typically a few days to a few weeks after the record date

⚠ **The ex-date rule under T+1 — this changed and catches people out**
Under the older T+2 cycle, you had to buy at least two trading days before the record date. Under **T+1**, the ex-date and record date coincide, which means you must buy **on or before the day prior to the ex-date** so that the trade settles and you are on the register. Buying on the ex-date itself does **not** entitle you to the dividend, bonus or split. Conversely, if you sell on the ex-date you **retain** the entitlement, because the settlement happens after the record date is struck. Verify the current rule for any specific action with the exchange notice.

Dividends

TEXT

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DIVIDEND — WHAT ACTUALLY HAPPENS TO YOUR WEALTH

SITUATION
  You hold 400 shares, trading at ₹620.
  Portfolio value: ₹2,48,000
  Company declares a dividend of ₹12 per share.

ON THE EX-DATE, the exchange adjusts the reference price:
  Opening reference = 620 − 12 = ₹608

AFTER THE EX-DATE (assuming no other price movement)
  Shares        400 x ₹608 = ₹2,43,200
  Dividend due  400 x ₹12  = ₹   4,800
                             ──────────
  TOTAL                      ₹2,48,000

  YOUR WEALTH IS UNCHANGED. The company moved ₹4,800 from
  its bank account to yours, and the share price fell by
  exactly that amount because the company is now worth
  ₹4,800 less (per your stake).

THEN TAX HAPPENS
  Dividends are taxed in the hands of the investor at
  SLAB RATE (as at FY 2025-26). At a 31.2% effective rate:
    Tax on ₹4,800 = ₹1,498
    NET in hand   = ₹3,302
    TDS u/s 194 is deducted by the company if total
    dividend from that company exceeds the annual
    threshold (₹10,000 as at FY 2025-26 — VERIFY, this
    threshold has been revised).

  POST-DIVIDEND WEALTH: ₹2,43,200 + ₹3,302 = ₹2,46,502
  YOU ARE ₹1,498 POORER THAN BEFORE THE DIVIDEND.

THE IMPLICATION
  For a taxpayer in the 30% slab, a dividend is a FORCED,
  TAXABLE event. A company that retains and reinvests
  profits, or buys back shares, defers your tax liability
  and lets the money compound pre-tax inside the business.

  This is why "dividend yield investing" is less
  attractive for a high-slab Indian investor than it
  appears, and why the pre-2020 dividend distribution
  tax regime (where the company paid DDT and the
  dividend was exempt in your hands) was structurally
  different.
```

```
NOTE: this is a structural observation about taxation,
NOT a recommendation about any investment style.
```

Bonus issue

```
TEXT
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```
BONUS ISSUE — FREE SHARES THAT ARE NOT FREE

A bonus issue capitalises the company's reserves into
share capital and issues new shares to existing holders.
No money enters the company. No money leaves.

WORKED: 1:1 BONUS (one new share for every one held)

  BEFORE
    Shares held             400
    Price                   ₹620
    Value                   ₹2,48,000
    Company's total shares  100 crore
    Market cap              ₹62,000 crore

  AFTER (ex-bonus)
    Shares held             800
    Adjusted price          ₹310
    Value                   ₹2,48,000   ⟵ IDENTICAL
    Company's total shares  200 crore
    Market cap              ₹62,000 crore ⟵ IDENTICAL

WORKED: 3:5 BONUS (three new shares for every five held)

  BEFORE: 400 shares at ₹620 = ₹2,48,000
  Bonus shares = 400 x (3/5) = 240
  AFTER: 640 shares
  Adjusted price = 620 x (400/640) = ₹387.50
  Value = 640 x 387.50 = ₹2,48,000   ⟵ IDENTICAL

WHY COMPANIES DO IT
  - Improves liquidity: a lower per-share price widens
    the base of buyers
  - Signalling: management is confident enough in future
    earnings to increase the share count
  - Tradition / investor expectation in Indian markets

TAX TREATMENT (as at FY 2025-26, verify at incometax.gov.in)
  - The bonus shares have a COST OF ACQUISITION OF ZERO
  - The holding period of bonus shares starts from the
    DATE OF ALLOTMENT of the bonus shares, not from when
    you bought the original shares
  - So if you sell bonus shares within 12 months of
    allotment, the ENTIRE sale proceeds are a SHORT-TERM
    capital gain taxed at 20%
  - Your original shares keep their original cost and
    holding period
```

```
WORKED TAX EXAMPLE
  Bought 400 shares at ₹500 in Jan 2024 = ₹2,00,000
  1:1 bonus allotted Mar 2026 → 400 bonus shares, cost ₹0
  Sell all 800 in June 2026 at ₹330 = ₹2,64,000

  Original 400: sold at ₹330, cost ₹500, held > 12 months
      LTCG = 400 x (330 - 500) = -₹68,000  (a LONG-TERM LOSS)
  Bonus 400: sold at ₹330, cost ₹0, held < 12 months
      STCG = 400 x 330 = ₹1,32,000  (SHORT-TERM GAIN)

  The short-term gain cannot be offset by ... actually a
  LONG-TERM LOSS CANNOT be set off against a SHORT-TERM
  GAIN. (Short-term loss CAN offset both.)
  So you pay 20% on ₹1,32,000 = ₹26,400 of tax, while
  carrying forward a ₹68,000 long-term loss.

  ECONOMICALLY you received ₹2,64,000 for something that
  cost ₹2,00,000 — a ₹64,000 gain. You are taxed on
  ₹1,32,000. This "bonus stripping" asymmetry is real;
  s.94(8) of the Income-tax Act contains an anti-avoidance
  provision for deliberate bonus stripping. Consult a CA.
```

Stock split

TEXT

STOCK SPLIT — DIVIDING THE FACE VALUE

A split reduces the FACE VALUE of each share and issues proportionally more shares. Unlike a bonus, reserves are not capitalised — only the face value changes.

WORKED: a split from ₹10 face value to ₹2 face value (1:5)

```
  BEFORE
    Shares         400
    Face value     ₹10
    Price          ₹620
    Value          ₹2,48,000

  AFTER
    Shares         2,000     (400 x 5)
    Face value     ₹2
    Price          ₹124      (620 / 5)
    Value          ₹2,48,000  ←— IDENTICAL
```

TAX TREATMENT — BETTER THAN A BONUS

Your original cost is SPREAD across the new share count, and the HOLDING PERIOD IS PRESERVED from the original purchase date.

Bought 400 at ₹500 = ₹2,00,000
After a 1:5 split: 2,000 shares, cost ₹100 each
Holding period runs from the ORIGINAL purchase date.

BONUS vs SPLIT — THE PRACTICAL DIFFERENCE

	BONUS	SPLIT
Face value	Unchanged	Reduced
Reserves	Capitalised	Unchanged
Cost of new shares	ZERO	Apportioned
Holding period of new shares	STARTS FRESH	PRESERVED
Tax outcome	Can create a large artificial short-term gain	Neutral

NEITHER CREATES VALUE. A pizza cut into eight slices is not more pizza than one cut into four. Indian retail investors frequently bid up stocks ahead of a split or bonus announcement; there is no economic basis for this.

Rights issue

TEXT

```
RIGHTS ISSUE — THE ONE WHERE DOING NOTHING COSTS YOU

A rights issue offers existing shareholders the right (not
the obligation) to buy new shares at a DISCOUNT to the
market price, in proportion to their holding. The company
RAISES REAL MONEY. Section 62, Companies Act, 2013.

WORKED: 1:4 RIGHTS AT ₹400 (market price ₹620)

  You hold 400 shares at ₹620 = ₹2,48,000
  Entitlement: 1 new share for every 4 held = 100 shares
  Rights price: ₹400 per share
  Cash required: 100 x ₹400 = ₹40,000

THE THEORETICAL EX-RIGHTS PRICE (TERP)
  TERP = [(existing shares x cum-rights price)
          + (new shares x rights price)]
         / (existing + new shares)

  TERP = [(400 x 620) + (100 x 400)] / 500
       = [2,48,000 + 40,000] / 500
       = 2,88,000 / 500
       = ₹576

THREE CHOICES

  OPTION A — SUBSCRIBE FULLY
    Pay ₹40,000, receive 100 shares
    Total holding: 500 shares at TERP ₹576 = ₹2,88,000
    You invested ₹2,48,000 + ₹40,000 = ₹2,88,000
    NEUTRAL. Your ownership percentage is preserved.

  OPTION B — SELL THE RIGHTS ENTITLEMENT (RE)
    Rights Entitlements are credited to your demat as a
    separate temporary ISIN and TRADE ON THE EXCHANGE
    during the issue period.
    Theoretical value of one RE = TERP - rights price
                                = 576 - 400 = ₹176
    Sell 100 REs at roughly ₹176 = ₹17,600 (less charges)
    Your 400 shares are now worth 400 x 576 = ₹2,30,400
    Total: ₹2,30,400 + ₹17,600 = ₹2,48,000
    NEUTRAL — but your ownership percentage is DILUTED
    from 400/X to 400/(X + new shares).

    TAX: the sale of a Rights Entitlement is a capital
    gain with a cost of acquisition of NIL (for an RE
    received free), taxed per the holding period rules.
    Verify the current treatment with a CA.
```

```
  OPTION C — DO NOTHING
    The REs LAPSE WORTHLESS at the end of the issue period.
    Your 400 shares fall to 400 x 576 = ₹2,30,400
    YOU HAVE LOST ₹17,600 BY INACTION.

  THIS IS THE ONE CORPORATE ACTION WHERE IGNORING YOUR
  EMAIL ACTUALLY COSTS YOU MONEY.

HOW TO ACT
  - Rights issues are applied for through the ASBA
    mechanism via your bank's net banking, or through the
    registrar's R-WAP platform
  - You can usually apply for ADDITIONAL shares beyond
    your entitlement, allotted if the issue is
    undersubscribed
  - Watch for the exchange notice and the registrar's
    communication; set a calendar reminder for the
    issue closing date
  - REs are tradeable only during a specified window,
    usually ending a few days before the issue closes

WHY COMPANIES DO RIGHTS ISSUES
  To raise capital from existing shareholders without the
  cost and dilution of a public issue. BUT: a company that
  repeatedly needs rights issues to fund operations (rather
  than growth) is telling you something about its cash
  generation. Read the letter of offer.
```

Buybacks

	Tender offer buyback	Open market buyback
Mechanism	Company offers to buy a fixed number of shares at a fixed price, usually above market. Shareholders "tender" their shares.	Company buys its own shares on the exchange over a period, like any other buyer
Retail reservation	**15% of the buyback size is reserved for small shareholders** (those holding shares worth up to ₹2,00,000 on the record date). This materially raises the acceptance ratio for small holders.	None — you simply sell in the market if you choose
Certainty	Partial — an acceptance ratio applies if the offer is oversubscribed	You can always sell at market
Price	Fixed, known in advance	Market price, capped by a maximum the company declares
Duration	A short tendering window	Up to six months or until the amount is exhausted

TEXT

```
BUYBACK TAXATION — THIS CHANGED ON 1 OCTOBER 2024

OLD REGIME (until 30 September 2024)
  The COMPANY paid buyback distribution tax at ~23.3%.
  Proceeds were EXEMPT in the shareholder's hands u/s
  10(34A). Buybacks were therefore very tax-efficient
  for shareholders, especially compared with dividends.

NEW REGIME (from 1 October 2024) — VERIFY at incometax.gov.in
  Buyback proceeds are treated as a DEEMED DIVIDEND in the
  hands of the shareholder, taxable at SLAB RATE on the
  FULL amount received — with NO deduction for the cost
  of acquisition against that amount.
  Separately, the cost of the shares tendered is treated
  as a CAPITAL LOSS, which can be set off against capital
  gains and carried forward for 8 assessment years.

WORKED — SMALL SHAREHOLDER TENDER, NEW REGIME
  You hold 300 shares, cost ₹480 each = ₹1,44,000
  Buyback at ₹700. Acceptance ratio 100% for small
  shareholders (illustrative).
  Tender 300 shares, receive 300 x 700 = ₹2,10,000

  TAX:
    Deemed dividend income = ₹2,10,000 (the FULL amount)
    Tax at 31.2% slab      = ₹65,520
    Capital LOSS available = ₹1,44,000 (the cost),
      usable only against capital GAINS, now or carried
      forward for 8 years

  Cash received ₹2,10,000, tax paid ₹65,520.
  If you have no capital gains to absorb the ₹1,44,000
  loss, it sits unused.

  ECONOMIC GAIN was ₹66,000 (2,10,000 - 1,44,000).
  You paid ₹65,520 of tax on it. The loss is only useful
  if you have offsetting gains.

CONSEQUENCE: buybacks became far less attractive to
individual shareholders from October 2024, and several
companies shifted toward dividends or retention instead.
Check the current law before deciding to tender — and
consult a CA, because the loss set-off mechanics matter
enormously to the outcome.

PARTICIPATING IN A TENDER BUYBACK — MECHANICS
  1. Hold the shares on the RECORD DATE
  2. The buyback entitlement appears in your demat as a
```

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   separate temporary ISIN
3. Tender through your broker during the tendering
   window (usually 5 trading days)
4. Accepted shares are debited; unaccepted shares are
   returned to your demat
5. Payment is credited after settlement of the offer
```

Mergers, demergers and delisting

Action	What happens to your shares	Key points
Merger / amalgamation	Your shares in the merging company are cancelled and replaced by shares in the merged entity at a stated **swap ratio** (e.g. 7 shares of B for every 10 of A)	Approved by shareholders, creditors and the NCLT under Sections 230–232 of the Companies Act, 2013. Under Section 47 of the Income-tax Act, a qualifying amalgamation is **not treated as a transfer**, so no capital gains arise; the cost and holding period of the original shares carry over to the new shares. Verify the specific scheme's tax opinion.
Demerger	The company spins off a business into a separate listed entity. You receive shares in the new company in a stated ratio, and the parent's price adjusts downward	Your **original cost is apportioned** between the parent and the resulting company in the ratio of their net book values immediately before the demerger (Section 49(2C)/(2D)). The company issues a cost-apportionment note — keep it, you need it to compute capital gains later. Holding period carries over. The new entity may list after a gap of several weeks, during which you hold an unlisted, untradeable asset.
Voluntary delisting	The promoter offers to buy out public shareholders through a reverse book building process. If successful, the stock is removed from the exchange.	Governed by SEBI (Delisting of Equity Shares) Regulations, 2021, which were amended to permit a **fixed price** route in addition to reverse book building. If you do not tender, you are left holding **unlisted shares** with almost no liquidity, though an exit window remains open for a period after delisting. **Act on the notice.**
Compulsory delisting	The exchange delists a company for persistent non-compliance	Promoters must provide an exit at a fair value determined by an independent valuer, but recovery is often poor and slow. The shares become effectively untradeable.
Scheme of arrangement / capital reduction	Varies — may involve cancellation of shares against a cash payment	Read the scheme document. Tax treatment differs and is frequently litigated.

I received shares of a demerged company. How do I work out my cost of acquisition when I eventually sell?

✦ **Keep a corporate action file**

For every holding, keep a folder with: the original contract note, every corporate action notice, bonus and split adjustment records, demerger cost-apportionment letters, and rights issue allotment advices. When you eventually sell, your capital gains computation depends entirely on an accurate cost of acquisition and holding period — and after a decade of bonuses, splits and a demerger, reconstructing it from memory is impossible. Your broker's capital gains statement is usually right, but it is your responsibility to verify, and it will not capture shares you transferred in from elsewhere.

How to track corporate actions

- ☐ Exchange websites publish a **corporate actions calendar** with record dates, ex-dates and purposes — nseindia.com and bseindia.com, searchable by company.
- ☐ Your broker's app usually shows upcoming corporate actions for your holdings. Do not rely on this alone for action-requiring events like rights issues and buybacks.
- ☐ The RTA (KFintech, Link Intime, MUFG Intime) sends communications to your registered email. **Keep your email and mobile updated with your DP** — most missed rights issues are the result of a stale contact record.
- ☐ Companies file outcome-of-board-meeting disclosures with the exchanges under LODR Regulation 30. These are public and free.
- ☐ Set a calendar reminder for any action requiring you to respond, with the deadline two days before the actual closing date.

IPOs End to End

The initial public offering is where retail enthusiasm in India runs hottest and where the evidence is most sobering. This section covers the full process from draft prospectus to listing day, the application mechanics you will actually use, and the honest historical record on IPO returns.

The process, start to finish

DRHP filed → **SEBI observations** → **RHP + price band** → **Anchor book** →

Public issue 3 days → **Basis of allotment** → **Listing T+3**

1. **Appointment of intermediaries**
   The company appoints Book Running Lead Managers (merchant bankers), a registrar, legal counsel, and auditors. Their fees come out of the issue proceeds.

2. **DRHP — Draft Red Herring Prospectus**
   Filed with SEBI and the exchanges, made public. This is the single most important document, running to 400–700 pages. It contains the business description, financials, risk factors, promoter details, litigation, related-party transactions, objects of the issue and the shareholding pattern.

3. **SEBI observations**
   SEBI reviews and issues observations; the company responds and revises. SEBI's clearance is **not an endorsement of the issue or its price** — the standard disclaimer says exactly this. SEBI vets disclosure, not value.

4. **RHP — Red Herring Prospectus**
   The updated document with the price band and issue dates, filed with the Registrar of Companies. Published typically a few days before the issue opens.

5. **Anchor book**
   One working day before the issue opens, up to 60% of the QIB portion may be allotted to anchor investors — large institutions — at a price within the band. Anchor allottees face a lock-in (a portion for 30 days and a portion for 90 days). The anchor list is published and is widely read as a signal of institutional interest.

6. **Public issue window**
   Open for a minimum of three working days, extendable in specified circumstances. Retail, HNI and QIB apply through their respective categories.

7. **Basis of allotment**
   Finalised by the registrar in consultation with the exchange, typically within a day or two of closure under the current timelines. Published on the registrar's website.

8. **Refunds / unblocking**
   Unsuccessful applicants have their UPI mandate blocks released.

9. **Credit of shares**
   Allotted shares are credited to the demat account.

10. **Listing**
    SEBI reduced the listing timeline to

T+3
(three working days from issue closure), mandatory for all public issues opening on or after 1 December 2023. Verify the current timeline at sebi.gov.in.

Book building and the price band

TEXT

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HOW THE ISSUE PRICE IS DISCOVERED

FIXED PRICE ISSUE (now rare for mainboard)
  The company states one price. You apply at it.

BOOK BUILDING (the standard route)
  The company states a PRICE BAND, e.g. ₹480 to ₹505,
  with a tick of ₹1 or ₹5. The band's upper end is
  usually not more than 20% above the floor.

  Bidders specify both PRICE and QUANTITY.
  QIBs and HNIs bid at various prices in the band.
  RETAIL investors can:
     - bid at a specific price, OR
     - bid at the CUT-OFF PRICE, which means
       "whatever the final price turns out to be"

  CUT-OFF is available ONLY to retail individual
  investors and to employees in the employee reservation.

  At the close, the registrar builds a demand schedule:

     Price    Cumulative demand (shares)
     ₹505           3.8 crore
     ₹500           6.1 crore
     ₹495           9.4 crore
     ₹490          12.2 crore
     ₹480          15.9 crore

  If the issue is 2.0 crore shares and QIB demand is
  strong at ₹505, the issue price is set at or near the
  top of the band. In practice, in an oversubscribed
  Indian IPO, the price is almost always the UPPER END.

  WHY RETAIL SHOULD USUALLY BID AT CUT-OFF
    If you bid at ₹495 and the issue price is set at
    ₹505, YOUR APPLICATION IS REJECTED — you get nothing,
    not even a partial allotment. Bidding at cut-off
    means you accept the discovered price and remain in
    the running. The extra amount is blocked and the
    difference is released if the price is lower.
```

Investor categories and reservation

Category	Who	Minimum reservation (book-built issue with profitability track record)	Allotment method
QIB — Qualified Institutional Buyer	Mutual funds, insurance companies, FPIs, banks, pension funds, AIFs	Not more than 50%	Proportionate, at the issuer's discretion within the category; 5% of the QIB portion is reserved for mutual funds
NII / HNI — Non-Institutional Investor	Applications above ₹2,00,000. Split into a **small NII** bucket (₹2–10 lakh) and a **big NII** bucket (above ₹10 lakh), each getting one-third and two-thirds of the NII portion respectively	Not less than 15%	**Draw of lots** if oversubscribed — SEBI replaced proportionate allotment for NII in 2022, which ended the practice of leveraged HNIs applying for enormous amounts to secure a proportionate share
Retail Individual Investor (RII)	Applications up to **₹2,00,000** (total bid value including any discount)	Not less than 35%	**Minimum one lot to as many applicants as possible**, by lottery if oversubscribed. See below.
Employee reservation	Permanent employees of the issuer	Optional; capped at 5% of post-issue capital, with a value cap per employee	Often at a discount to the issue price
Shareholder quota	Shareholders of a listed parent, in certain issues	Optional	Separate category, often with better odds

> **If the company has no profitability track record**
> Under the SEBI ICDR Regulations, an issuer that does not meet the prescribed profitability and net-tangible-asset conditions must allot at least **75% to QIBs**, leaving not more than 10% for retail. Several large loss-making technology IPOs in India have used this route. It is disclosed on the cover of the RHP. Check it — it tells you that the issue is being priced for institutions, and that the retail allocation is small.

Lot size, and the retail allotment lottery

TEXT

```
HOW MANY SHARES CAN YOU APPLY FOR?

LOT SIZE
  SEBI requires the minimum application value to fall in
  a prescribed band (historically ₹14,000–₹15,000 at the
  upper price band, with periodic revisions — verify the
  current norm at sebi.gov.in).

  Example: price band ₹480–₹505
     Lot size chosen: 29 shares
     Minimum application at cut-off = 29 x 505 = ₹14,645

  MAXIMUM FOR RETAIL = ₹2,00,000
     ₹2,00,000 / ₹14,645 = 13.65 → 13 LOTS
     13 lots x 29 shares = 377 shares = ₹1,90,385

THE ALLOTMENT MATHS WHEN OVERSUBSCRIBED

  Retail portion: 35% of a 2 crore share issue = 70 lakh
  shares = 70,00,000 / 29 = 2,41,379 lots available

  Retail applications received: 18,00,000 lots
  Retail subscription: 18,00,000 / 2,41,379 = 7.46 times

  BECAUSE SEBI REQUIRES MINIMUM-ONE-LOT-TO-MAXIMUM-
  APPLICANTS, the registrar allots exactly ONE LOT to
  2,41,379 applicants chosen BY LOTTERY. Everyone else
  gets nothing.

  YOUR PROBABILITY OF ALLOTMENT
     If you applied for 1 lot:  roughly 2,41,379 /
       (number of applicants) — but note that applicants
       applying for 13 lots are ALSO only eligible for
       one lot in this scenario, and each application
       (not each lot) gets one entry in the lottery.

  CRITICAL INSIGHT:
     In a heavily oversubscribed retail book, applying
     for 13 lots gives you the SAME chance as applying
     for 1 lot, while blocking 13x the money.

     The variable that increases your odds is the NUMBER
     OF SEPARATE APPLICATIONS — one per PAN. A family of
     four with four PANs and four demat accounts can make
     four applications. Multiple applications from the
     SAME PAN are rejected outright, for all of them.

  WHEN RETAIL IS UNDER-SUBSCRIBED (under 1x):
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   Everyone gets full allotment. Applying for more lots
   then DOES get you more shares. But an undersubscribed
   retail book is itself information about demand.

THE "SMALL HNI" ALTERNATIVE
   Applying for ₹2–10 lakh puts you in the small NII
   bucket, which is also allotted by lot. The subscription
   multiple in that bucket is often different from retail.
   But you forfeit the cut-off option and must fund a
   larger block.
```

Applying through UPI — the ASBA mechanism

TEXT

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THE APPLICATION PROCESS, STEP BY STEP

ASBA = Applications Supported by Blocked Amount.
Your money NEVER leaves your bank account. It is BLOCKED
(a lien is marked) and debited only if shares are allotted.
This is why IPO applications have no refund delay.

STEP 1  Open your broker's IPO section, or your bank's
        net banking ASBA facility.

STEP 2  Select the IPO. Enter:
          - Number of LOTS (not shares)
          - Price: select CUT-OFF (recommended for retail)
          - Your UPI ID (must be from a bank and app on
            SEBI's approved list — check the list; many
            popular UPI apps are NOT eligible for IPO
            mandates)

STEP 3  Submit. Within a few minutes to a few hours you
        receive a MANDATE REQUEST notification in your
        UPI app.

STEP 4  OPEN THE UPI APP AND APPROVE THE MANDATE.
        THIS IS THE STEP PEOPLE MISS. An unapproved
        mandate means NO APPLICATION. You must approve
        before 17:00 on the issue closing day (verify
        the current cut-off — it has been as early as
        17:00 on the final day).

STEP 5  The amount is BLOCKED in your account. You can
        see it as a lien; the balance still shows but
        is not usable.

STEP 6  On allotment, the blocked amount is DEBITED for
        allotted shares and the rest is RELEASED.
        If not allotted, the full block is released,
        typically within a day of the basis of allotment.

STEP 7  Shares are credited to your demat before listing.

COMMON FAILURE MODES
  [ ] UPI mandate not approved in time → application void
  [ ] Insufficient balance at the time of blocking
  [ ] Bank or UPI app not on the SEBI-approved list
  [ ] Multiple applications from the same PAN → ALL rejected
  [ ] Name mismatch between PAN, demat and bank account
  [ ] Applying at a price below the final issue price
  [ ] Demat account frozen due to incomplete KYC/nomination
```

```
CHECK YOUR ALLOTMENT STATUS
  - The REGISTRAR's website (KFintech, Link Intime/MUFG
    Intime, Bigshare) — search by PAN or application number
  - The BSE website's IPO allotment status page
  - Your broker's app
```

The grey market premium — and why it is unreliable

✕ **GMP is an unregulated, unofficial and manipulable number**

The "grey market premium" is a price quoted by an informal, **unregulated** network of dealers for trading IPO applications and allotments before listing. It has **no legal standing**, no regulatory oversight, no transparency about volumes, and no settlement guarantee. SEBI has repeatedly cautioned investors against relying on it. Three specific problems: **(1) It is trivially manipulable.** A handful of trades in an opaque market can set a "premium" that is then reported widely, generating retail demand that benefits those who want the issue to be subscribed. **(2) The volumes behind it are tiny** relative to the issue, so it is not a meaningful price signal. **(3) It has frequently been wrong**, including issues that showed a large GMP and listed at a discount. Trading in the grey market also means transacting outside the regulated system with no recourse. If you are choosing whether to apply to an IPO based on GMP, you are speculating on a rumour, not investing in a business.

Listing day mechanics

Element	How it works
Special pre-open session	Newly listed shares go through a dedicated call auction (typically 09:00–09:45, with order entry, matching and buffer phases) to discover the opening price. There is no "previous close" to anchor to.
Price band on day one	A dynamic band applies around the discovered equilibrium price. SEBI and the exchanges have applied a 5%/10%/20% band structure to newly listed IPO scrips depending on issue size and whether derivatives are available — verify the current circular.
Trade-for-trade	Some newly listed scrips, particularly SME listings, are placed in a trade-for-trade segment initially, so no intraday trading is possible.
Anchor lock-in expiry	A portion of anchor shares unlocks after 30 days and the remainder after 90 days. Both dates are known in advance and are frequently associated with supply pressure.
Pre-IPO shareholder lock-ins	Promoter and pre-IPO investor lock-ins expire at defined intervals (commonly 6 months and 18 months for different categories). The expiry of a large lock-in releases significant potential supply. These dates are disclosed in the RHP.

The evidence on IPO returns

⚠ **Evidence summary — approximate, as at late 2026**
The figures below summarise patterns documented in SEBI's own research and in academic work on Indian IPOs. Specific percentages depend on the sample period and methodology. Verify with SEBI's published studies at **sebi.gov.in** and with current data. **Past patterns do not predict future outcomes for any particular issue.**

TEXT

WHAT THE DATA ACTUALLY SHOWS ABOUT INDIAN IPOs

1. LISTING-DAY GAINS ARE REAL ON AVERAGE, BUT HIGHLY DISPERSED
   A meaningful share of Indian IPOs list above the issue price. The AVERAGE listing gain across a cycle has been positive. But the distribution is wide: in the same period, many issues listed at a discount, and the average is pulled up by a small number of very large first-day pops.

2. MOST RETAIL INVESTORS SELL ALMOST IMMEDIATELY
   A SEBI study of IPO investor behaviour found that individual investors sold a very large proportion of allotted shares within the first week of listing — with the selling propensity notably HIGHER when listing gains were large. This is the DISPOSITION EFFECT at work: booking winners fast, holding losers.

3. ONE-YEAR AND THREE-YEAR RETURNS ARE FAR LESS FLATTERING
   Studies of Indian IPO cohorts have repeatedly found that a substantial share of issues trade BELOW their issue price one year after listing, and that the median long-run excess return versus the index is negative or negligible. This is consistent with international evidence on long-run IPO underperformance.

4. THE STRUCTURAL REASON
   The company and its existing shareholders choose WHEN to sell and at WHAT price. They have:
     - complete information about the business
     - merchant bankers advising on timing
     - an incentive to issue when sentiment and valuations are favourable
   You have a 600-page document you probably did not read and three days to decide.

   This is an information-asymmetric transaction in which the better-informed party chose the timing. That does not make every IPO bad. It does mean the base rate is not in your favour.

5. OFS vs FRESH ISSUE MATTERS
   Read the RHP's "Objects of the Issue". If the issue is largely an OFFER FOR SALE (existing shareholders selling out), the company receives NOTHING and the transaction is an exit for early investors. If it is a FRESH ISSUE to fund capacity, repay debt or finance growth, the

```
    capital enters the business. Many Indian IPOs are
    predominantly OFS.

WHAT A SENSIBLE PROCESS LOOKS LIKE (NOT ADVICE)
  [ ] Read the RHP risk factors section in full. It is
      written by lawyers to be complete; it is the most
      honest part of the document.
  [ ] Read "Objects of the Issue" — fresh issue or OFS?
  [ ] Read the related-party transactions note.
  [ ] Compare the implied valuation (P/E, EV/EBITDA, or
      the relevant metric) against LISTED PEERS. The RHP
      contains a peer comparison table — check whether
      the peers chosen are genuinely comparable.
  [ ] Check promoter shareholding post-issue and the
      lock-in expiry schedule.
  [ ] Check whether the company met the profitability
      criteria or used the 75%-QIB route.
  [ ] Decide BEFORE listing day whether you are a buyer
      of this business for years, or a seller on day one.
      Both are valid. Confusing them is not.
  [ ] Do not apply because of the GMP.
  [ ] Do not apply with borrowed money.
```

SME IPOs — a separate and riskier market

The SME platform is not the mainboard

NSE Emerge and BSE SME are separate platforms for small and medium enterprises with substantially relaxed eligibility requirements. Key differences: **minimum application size is one lot worth roughly ₹1,00,000 or more** (not ₹15,000), there is **no separate retail category** in the same form, **market making is mandatory** for a period but liquidity is still extremely thin, financial disclosure requirements are lighter, and quarterly reporting obligations are reduced to half-yearly. SEBI has taken enforcement action in several SME cases involving inflated revenues, circular transactions and diversion of issue proceeds, and has progressively tightened eligibility and allotment norms for the segment, including requirements on operating profit track record and caps on OFS. Some SME issues have been subscribed hundreds of times and then fallen heavily. Verify the current framework at sebi.gov.in. For a beginner, the asymmetry of information, the ₹1 lakh minimum ticket and the liquidity profile combine to make this an unsuitable starting point.

Other Instruments on the Exchange

The same trading account that buys shares can buy several other instrument types, each with its own mechanics, liquidity profile and tax treatment. Knowing what is available prevents the common belief that "investing in the market" means only buying stocks.

Exchange Traded Funds (ETFs)

Aspect	Detail
What it is	A mutual fund scheme whose units are listed and traded on the exchange like a share. Most Indian ETFs are passive, tracking an index, a commodity or a debt basket.
How you buy	Through your trading account, in whole units, at the market price. Needs a demat account.
Costs	Expense ratio (often 0.05%–0.50% for broad equity ETFs), plus brokerage, STT, and the **bid-ask spread**, plus any premium or discount to iNAV
Key risk	**Liquidity and premium/discount.** Many listed Indian ETFs trade very little. Always check the iNAV and use limit orders. A persistent 5% premium wipes out years of expense-ratio savings.
ETF versus index fund	An **index fund** is bought and sold at NAV directly with the AMC, with no demat account, no spread, no premium, and supports SIPs natively — but you get end-of-day NAV, not intraday pricing. An **ETF** gives intraday trading and often a lower expense ratio, but adds spread, brokerage and premium risk. For a monthly SIP investor, the index fund is usually the simpler instrument; for large lump sums in a liquid ETF, the ETF can be cheaper. Both track the same index.
Categories available in India	Nifty 50, Sensex, Nifty Next 50, Nifty Midcap, Bank Nifty, sectoral, factor/smart-beta, gold, silver, international indices, liquid/overnight ETFs, G-Sec and SDL target maturity ETFs, Bharat Bond ETFs

REITs and InvITs

	REIT	InvIT
Underlying	Income-producing commercial real estate — predominantly Grade A office parks, and some retail malls	Infrastructure: toll roads, power transmission, gas pipelines, telecom towers, renewable energy assets
Regulation	SEBI (REIT) Regulations, 2014	SEBI (InvIT) Regulations, 2014
Minimum investment	SEBI reduced the trading lot to one unit; units trade like shares on NSE/BSE	Same
Mandatory distribution	At least 90% of distributable cash flows, at least semi-annually	At least 90% of distributable cash flows
Leverage limit	Generally 49% of asset value, with conditions for exceeding	Generally 49%, extendable to 70% subject to rating and unitholder approval
Taxation of distributions	**Split by component.** Interest component: taxed at slab. Dividend component: exempt if the SPV has not opted for the concessional corporate tax regime, otherwise taxable at slab. Rental component: slab. **Return of capital**: not taxed on receipt but **reduces your cost of acquisition**, increasing future capital gains. The trust issues an annual statement breaking this down — you need it to file. Verify current treatment at incometax.gov.in.	
Capital gains on units	Listed units of a business trust: short-term if held 12 months or less, taxed at 20%; long-term at 12.5% above the applicable exemption. Verify current rates.	
Main risks	Office vacancy and hybrid working; tenant concentration; interest-rate sensitivity; sponsor quality; the fact that unit prices can fall well below NAV for extended periods	Asset concentration; regulatory and tariff risk; traffic or volume risk; finite asset life, where part of the distribution is return of capital and the asset eventually expires

Sovereign Gold Bonds

⚠ **SGB status as at late 2026**

Sovereign Gold Bonds were issued by the RBI on behalf of the Government of India, paying **2.5% annual interest** on the nominal value *plus* the appreciation in gold price, with **capital gains on redemption at maturity fully exempt** for individuals. **No new tranches have been issued since February 2024**, and the government has signalled that the scheme will not continue in its original form on cost grounds. Existing bonds continue to their 8-year maturity with early redemption permitted from year 5 on interest payment dates, and some tranches have been redeemed early by the RBI. SGBs trade on the exchanges in the secondary market, but volumes are thin and prices can diverge meaningfully from the underlying gold value. **Verify the current position at rbi.org.in before assuming availability or terms.**

Government securities via RBI Retail Direct

TEXT

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RBI RETAIL DIRECT — BUYING GOVERNMENT BONDS WITHOUT A BROKER

WHAT IT IS
  A facility launched by the RBI allowing individuals to
  open a Retail Direct Gilt (RDG) account directly with
  the RBI and buy government securities in the primary
  auctions and the secondary market (NDS-OM).

WHAT YOU CAN BUY
  - Treasury Bills (91, 182, 364 day) — zero coupon,
    issued at a discount
  - Dated Government Securities (G-Secs) — 5 to 40 year
    maturities, semi-annual coupon
  - State Development Loans (SDLs) — issued by state
    governments, usually a small yield pickup over G-Secs
  - Sovereign Gold Bonds, when issued

COSTS
  NO account opening fee. NO maintenance fee. NO brokerage.
  This is the cheapest access to fixed income available
  to an Indian individual.

HOW IT WORKS
  1. Open an RDG account at rbiretaildirect.org.in with
     PAN, Aadhaar, bank account and email/mobile
  2. Participate in weekly primary auctions as a
     non-competitive bidder — you get the cut-off price
     determined by institutional bidders, without having
     to bid a yield yourself
  3. Or buy/sell in the secondary market on NDS-OM
  4. Coupons are credited directly to your bank account

TAXATION (as at FY 2025-26, verify at incometax.gov.in)
  - Coupon interest: taxed at SLAB rate
  - Capital gain on sale before maturity: per the
    applicable holding period rules
  - Held to maturity: you receive face value; there is no
    capital gain if bought at par

THE HONEST ASSESSMENT
  ADVANTAGES
    - Zero credit risk (sovereign)
    - No intermediary, no fees
    - You can lock a yield for 10, 20 or 30 years —
      useful for matching a distant, certain liability
    - No reinvestment risk on the principal

  DISADVANTAGES
```

```
  - THIN SECONDARY LIQUIDITY. Selling a small retail
    lot before maturity can be difficult and costly.
    PLAN TO HOLD TO MATURITY.
  - Interest taxed at slab makes the real after-tax
    return thin for a 30%-slab investor (see the
    companion guide's section on real returns)
  - Long-dated bonds carry significant PRICE volatility
    if you do need to sell — a 30-year bond can move
    10%+ on a 100 bps yield change
  - Coupons must be reinvested by you, at whatever
    rate prevails

WHO IT SUITS
  Someone matching a known future liability, someone in
  a low tax bracket, or someone who wants genuinely
  risk-free long duration. A TARGET MATURITY DEBT FUND
  achieves something similar with better liquidity and
  automatic reinvestment, at the cost of an expense ratio.
```

Corporate bonds and the OBPP platforms

Aspect	Detail
What changed	SEBI introduced a regulatory framework for **Online Bond Platform Providers (OBPPs)**, requiring them to register as stock brokers in the debt segment. SEBI also reduced the face value of privately placed listed debt securities to make them accessible to retail — from ₹10 lakh to ₹1 lakh and subsequently to ₹10,000 with conditions. Verify the current threshold.
What you can buy	Listed corporate bonds, NCDs, PSU bonds, state development loans, securitised debt instruments, and in some cases tax-free bonds in the secondary market
Yields	Typically a spread over G-Secs reflecting credit risk — from 50 bps for the strongest AAA issuers to several hundred basis points for lower-rated paper
Risks	**Credit risk sits entirely with you.** Ratings lag reality; several Indian AAA and AA-rated issuers have defaulted with little warning. **Liquidity is very thin** — assume you hold to maturity. **Call options** embedded in some bonds mean the issuer can redeem early when rates fall, leaving you to reinvest at a lower yield. Perpetual bonds (AT1) have special loss-absorption features and have been written down to zero in at least one high-profile Indian case.
Taxation	Coupon at slab; capital gains per the applicable holding-period rules. Verify current treatment, which was amended for market-linked debentures and certain debt instruments.
Honest assessment	A high yield is a measurement of risk, not a gift. A bond offering 13% when G-Secs yield 7% is telling you the market assigns a meaningful default probability. For most retail investors, a diversified debt mutual fund provides credit analysis and diversification that a single bond purchase does not.

Who Is on the Other Side of Your Trade

Every trade you execute has a counterparty who believes the opposite of what you believe, or who is acting for reasons entirely unrelated to the price. Knowing who they are is a useful corrective to the belief that you have found something nobody else has noticed.

The participant categories

Participant	Who they are	Typical horizon	Their advantages	Their constraints
Retail individuals	Individuals trading their own money through brokers	Minutes to decades — enormously varied	No mandate, no benchmark, no redemption pressure, can hold forever, can ignore quarterly performance	Information disadvantage, no research resources, behavioural biases, pay retail costs
HNI / NII	Individuals and family offices with large portfolios; often operate through PMS or AIF structures	Months to years	Access to research, negotiated costs, size	Concentration; sometimes leverage
DII — Domestic Institutional Investors	Indian mutual funds, insurance companies (LIC and private insurers), pension funds (EPFO, NPS), banks	Months to years	Research teams, management access, scale, now a very large and growing flow driven by monthly SIP inflows	Mandate constraints (a largecap fund must hold 80% largecap regardless of view), redemption pressure, benchmark-relative performance measurement, position-size limits
FII / FPI — Foreign Portfolio Investors	Global funds, sovereign wealth funds, hedge funds, ETFs tracking emerging-market indices, registered with	Varies widely — index trackers are permanent, hedge funds are short-term	Global perspective, enormous capital, sophisticated execution	Currency risk, country allocation decisions made abroad, forced flows when global EM allocations change, tax and regulatory friction

	SEBI under the FPI Regulations, 2019			
Proprietary desks	Brokers and trading firms trading their own capital	Microseconds to days	Speed, co-location, capital, sophisticated models	Risk limits; they are usually not taking directional multi-year views
Market makers / HFT	Firms providing continuous two-sided quotes, often algorithmically	Microseconds to minutes	Co-located servers, latency advantages, statistical edge on order flow	They earn the spread, not a directional view. They are usually the counterparty to a market order.
Promoters and insiders	Founding families, controlling shareholders, directors, designated persons	Years to generations	Complete information about the business	Heavily restricted by SEBI (PIT) Regulations, 2015: trading windows, pre-clearance, a Structured Digital Database, mandatory disclosure of trades above thresholds, and a prohibition on trading on unpublished price-sensitive information
Arbitrageurs	Firms exploiting price differences between cash and futures, between exchanges, or around corporate actions	Days to weeks	Low directional risk, systematic	Thin spreads; capital-intensive

Your actual edge as a retail investor

You will never beat a proprietary desk on speed, a mutual fund on research, or a promoter on information. You have exactly three structural advantages and they are real: **(1) No benchmark and no reporting period.** A fund manager who underperforms for six quarters loses their job; you can hold through a five-year drawdown. **(2) No size constraint.** A ₹40,000 crore fund cannot meaningfully own a ₹900 crore company; you can. **(3) No forced flows.** You never have to sell because clients redeemed. Every sensible retail strategy is built on these three advantages — long horizons, patience, and the ability to do nothing. Strategies that compete on speed, information or trading skill discard all three.

Reading FII and DII flow data

TEXT

WHAT THE DAILY FII/DII NUMBERS DO AND DO NOT TELL YOU

WHERE TO FIND IT
  NSE and BSE publish daily provisional cash-market
  figures for FII and DII net buy/sell. SEBI publishes
  more detailed FPI data. NSDL publishes FPI
  assets-under-custody and fortnightly flow data.

HOW IT IS COMPUTED
  "FII net" = value of shares bought by FIIs minus value
  sold, in the CASH segment, on that day.

WHAT IT GENUINELY TELLS YOU
  - The direction of foreign allocation to India over
    weeks and months
  - Whether domestic flows (driven substantially by
    monthly mutual fund SIPs) are offsetting foreign
    selling. This has been a visible structural change
    in Indian markets: persistent DII buying funded by
    retail SIPs has repeatedly absorbed large FII selling.

WHAT IT DOES NOT TELL YOU
  1. IT IS NOT A PREDICTOR. The data is published AFTER
     the market closes, and the price has already moved.
     There is no established edge in trading on it.
  2. IT EXCLUDES DERIVATIVES. An FII can be net selling
     ₹3,000 crore in cash while being long index futures.
     The cash figure alone is misleading.
  3. IT EXCLUDES PRIMARY MARKET. An FII buying ₹8,000
     crore in an IPO or a QIP does not show in the
     secondary cash figure.
  4. "FII" IS NOT ONE ENTITY. It aggregates index
     trackers (mechanical), long-only active funds
     (view-driven), hedge funds (short-term) and
     sovereign wealth funds (very long-term). A net
     number sums participants with opposite motivations.
  5. PROVISIONAL vs FINAL. The daily number is
     provisional and gets revised.

WHY FOREIGN FLOWS MOVE AT ALL
  - US dollar strength or weakness and US interest rates:
    when US yields rise, EM assets become relatively less
    attractive and capital flows out
  - Global risk appetite
  - India's weight in global EM indices (MSCI, FTSE)
    changing — a mechanical, non-fundamental driver
  - Relative valuation versus other emerging markets
  - Domestic policy, tax and regulatory changes

```
PRACTICAL CONCLUSION FOR AN INVESTOR
  Flow data is interesting CONTEXT and useless as a
  TRADING SIGNAL. Reading it daily will not improve your
  returns; it will increase your anxiety and your
  propensity to act. Check it monthly at most, if at all.
```

Reading a Contract Note and Your Holdings Statement

The contract note is the legally binding record of your trade, and SEBI requires your broker to issue it within 24 hours. Most retail investors never open it. It is the only place where every charge is itemised, and reading one carefully is the fastest way to understand what trading actually costs.

A fully worked contract note — ₹50,000 delivery buy

> ⚠ **Charge rates as at late 2026 — verify current rates**
>
> STT, exchange transaction charges, SEBI turnover fee, stamp duty, IPFT and GST rates are set by statute and circular and have been revised more than once in recent years. The computation below uses indicative rates to show the **method**. Verify every rate at nseindia.com, sebi.gov.in and the Finance Act before relying on a number.

TEXT

CONTRACT NOTE — EQUITY CASH SEGMENT (DELIVERY / CNC)

Member : [Broker Name] Pvt Ltd
SEBI Reg No : INZ000XXXXXX
Client Name : A N Investor
Client Code (UCC) : AB1234
PAN : ABCDE1234F
Trade Date : 14-Oct-2026
Settlement No : 2026201 / Settlement Type: T+1
Exchange : NSE | Segment: Capital Market

TRADE DETAILS

Order No	Trade No	Time	Security	B/S	Qty	Rate
180034291	40022187	11:42:07	ILLUSTRA LTD	B	250	₹200.00

Gross turnover 250 x 200 = ₹50,000.00

CHARGES COMPUTATION

1. Brokerage (delivery, zero-brokerage plan) ₹ 0.00
   Many discount brokers charge ₹0 on delivery.
   A full-service broker at 0.30% would charge ₹150.00

2. Securities Transaction Tax (STT)
   Delivery equity: 0.10% on the BUY side
   0.10% x ₹50,000 ₹ 50.00

3. Exchange Transaction Charge (NSE cash)
   ~0.00297% of turnover
   0.0000297 x ₹50,000 ₹ 1.49

4. SEBI Turnover Fee
   ₹10 per crore = 0.0001% of turnover
   0.000001 x ₹50,000 ₹ 0.05

5. IPFT (Investor Protection Fund Trust, NSE)
   ~₹10 per crore
   0.000001 x ₹50,000 ₹ 0.05

6. Stamp Duty (BUY side only, delivery)
   0.015% of turnover
   0.00015 x ₹50,000 ₹ 7.50

7. GST @ 18% on (Brokerage + Exchange charge + SEBI fee)
   18% x (0.00 + 1.49 + 0.05) ₹ 0.28

```
 TOTAL CHARGES                                                ₹   59.37
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 NET AMOUNT PAYABLE  = ₹50,000.00 + ₹59.37     =    ₹50,059.37
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ALL-IN COST OF THE BUY = 59.37 / 50,000 = 0.119%

_______________________________________________________________________
NOW THE SELL, TWO YEARS LATER AT ₹260 (₹65,000)
_______________________________________________________________________
  Gross turnover                                 250 x 260 = ₹65,000.00

 1. Brokerage (delivery)                                     ₹    0.00
 2. STT 0.10% on SELL side: 0.001 x 65,000                   ₹   65.00
 3. Exchange transaction charge 0.0000297 x 65,000           ₹    1.93
 4. SEBI turnover fee 0.000001 x 65,000                      ₹    0.07
 5. IPFT 0.000001 x 65,000                                   ₹    0.07
 6. Stamp duty — NIL on the sell side                        ₹    0.00
 7. GST 18% x (0.00 + 1.93 + 0.07)                           ₹    0.36
 8. DP CHARGES (debited separately by the DP, not always
      shown on the contract note)
      ₹15.00 per scrip per day + 18% GST = ₹17.70            ₹   17.70
_______________________________________________________________________
 TOTAL CHARGES ON SELL                                       ₹   85.13
═══════════════════════════════════════════════════════════════════════
 NET AMOUNT RECEIVABLE = ₹65,000.00 − ₹85.13   =    ₹64,914.87
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_______________________________________________________________________
THE FULL ROUND TRIP
_______________________________________________________________________
  Paid on buy                                          ₹50,059.37
  Received on sell                                     ₹64,914.87
  PRE-TAX PROFIT                                       ₹14,855.50

  TOTAL TRANSACTION COSTS  59.37 + 85.13      =      ₹   144.50
  As a % of the ₹50,000 invested              =      0.289%
  As a % of the ₹14,855 profit                =      0.97%

  CAPITAL GAINS TAX (held > 12 months, listed equity)
    Sale consideration                                 ₹65,000.00
    Less cost of acquisition                           ₹50,000.00
    LTCG                                               ₹15,000.00
    Note: STT and brokerage are generally NOT
    deductible in computing capital gains on
    listed equity under s.112A. Verify with a CA.

    Assume this is the only LTCG this year and the
    ₹1,25,000 annual exemption is available:
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    Taxable LTCG                                        ₹      0.00
    TAX                                                 ₹      0.00

  NET PROFIT AFTER COSTS AND TAX                        ₹14,855.50

──────────────────────────────────────────────────────────────────────
NOW COMPARE: THE SAME ₹50,000 TRADED 20 TIMES IN A YEAR (INTRADAY)
──────────────────────────────────────────────────────────────────────
  Intraday STT: 0.025% on the SELL side only
  Brokerage: ₹20 per executed order (₹20 buy + ₹20 sell = ₹40)
  Stamp duty: 0.003% on buy

  Per round trip on ₹50,000:
    Brokerage             ₹40.00
    STT (sell only)       ₹12.50
    Exchange charges      ₹ 2.97  (both legs)
    SEBI + IPFT           ₹ 0.20
    Stamp duty            ₹ 1.50
    GST 18% on
      (40 + 2.97 + 0.20)  ₹ 7.77
                          ──────
    TOTAL PER ROUND TRIP  ₹64.94

  20 round trips in a year: ₹1,298.80
  = 2.60% of your ₹50,000 capital, paid in costs alone,
    BEFORE any gain or loss.

  To break even you must earn 2.60%. To match a 10%
  index return you must generate 12.6% of gross trading
  profit. This is the arithmetic that makes frequent
  retail trading structurally unattractive.
```

Every line item, explained

Charge	Who levies it	Basis	Notes
Brokerage	Your broker	Per order or percentage of turnover	The only charge that is genuinely competitive. GST applies on top.
STT	Government of India	Delivery: 0.1% on buy AND sell. Intraday: 0.025% on sell only. Futures and options have their own rates, revised in 2024.	Levied under the Finance (No. 2) Act, 2004. Generally **not deductible** when computing capital gains on listed equity under Section 112A/111A. Collected by the broker and remitted.
Exchange transaction charge	NSE / BSE	Percentage of turnover, set by exchange circular and differing by exchange and segment	Revised in 2024 when exchanges moved from slab-based to uniform rates following a SEBI directive on "true to label" charges.
SEBI turnover fee	SEBI	₹10 per crore of turnover	Funds the regulator
IPFT	NSE's Investor Protection Fund Trust	Approximately ₹10 per crore	Funds compensation for investors affected by member default
Stamp duty	State governments, collected centrally	0.015% on delivery buy; 0.003% on intraday buy; different rates for debt and derivatives	Uniform nationally since the 2020 amendment to the Indian Stamp Act, 1899. **Buy side only.**
GST	Government	18% on brokerage + exchange charges + SEBI fee (and on DP charges)	Not levied on STT or stamp duty
DP charges	Your Depository Participant, on behalf of CDSL/NSDL	A flat amount **per scrip, per day**, on **sell** transactions only	**The most regressive charge for small investors.** ₹17.70 on a ₹2,000 sale is 0.885%; on a ₹2,00,000 sale it is 0.009%. Selling three different stocks

			on the same day incurs three charges.
Auto square-off charge	Broker	Flat, typically ₹50 per position	Only applies to intraday/MIS positions you failed to close
Pledge / unpledge charge	DP	Per ISIN per request	Only if you use margin against securities

Your holdings statement and the Consolidated Account Statement

TEXT

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THE THREE VIEWS OF WHAT YOU OWN — AND WHICH IS AUTHORITATIVE

1. YOUR BROKER'S "HOLDINGS" SCREEN
   Shows: quantity, average price, current price, P&L.
   CONVENIENT but it is the BROKER'S record and may
   include T+1 positions not yet settled, and may
   calculate "average price" in ways that include or
   exclude charges.
   NOT the legal record of ownership.

2. YOUR DEPOSITORY STATEMENT (CDSL easi / NSDL IDeAS)
   Shows: ISIN-wise holdings in your demat account as
   recorded by the depository.
   THIS IS THE LEGAL RECORD. If the broker's screen and
   the depository disagree, the depository is right and
   you should raise a complaint immediately.
   Register for this directly — do not rely on your
   broker's app alone.

3. CONSOLIDATED ACCOUNT STATEMENT (CAS)
   Sent free by NSDL or CDSL, monthly where there are
   transactions and half-yearly otherwise, to your
   registered email.
   Shows: ALL demat holdings AND all mutual fund
   holdings (including SOA-mode folios held with CAMS
   and KFintech) linked to your PAN.
   THIS IS THE SINGLE BEST DOCUMENT FOR AN ANNUAL
   PORTFOLIO REVIEW because it catches accounts you
   forgot you had.

   Request one at camsonline.com or kfintech.com, or
   from the NSDL/CDSL websites.

4. ANNUAL INFORMATION STATEMENT (AIS)
   On incometax.gov.in. Shows securities transactions,
   dividends, interest and other financial data reported
   against your PAN by banks, brokers, AMCs and
   registrars. CHECK IT EVERY YEAR BEFORE FILING:
   discrepancies between the AIS and your return trigger
   notices, and unrecognised entries may indicate
   identity misuse.

WHAT TO RECONCILE, AND HOW OFTEN
  Monthly   : broker holdings vs depository statement
  Quarterly : full CAS review
  Annually  : CAS vs AIS vs your own net worth sheet
              and your capital gains statement
```

Your First Trade, Step by Step

A numbered procedure. The aim is a boring, correct delivery purchase with no surprises. Read it once, then follow it with a small amount the first time — ₹2,000 to ₹5,000 is enough to learn the mechanics without the stakes mattering.

1 **Confirm your accounts are ready**

KYC status is "validated" at a KRA (check at any KRA website with your PAN). PAN is linked to Aadhaar and operative. Nomination is registered on the demat account, or an opt-out is on record. Bank account is linked and the name matches exactly across PAN, bank and demat. Two-factor authentication is enabled on the broker login.

2 **Fund the trading account**

Use **UPI** if available — it is usually free, while net banking transfers often carry a ₹9–₹20 payment gateway fee. Transfer only from a bank account registered in your own name; third-party transfers are rejected by SEBI rules. Confirm the funds show as available margin before proceeding. Transfer slightly more than the trade value to cover charges.

3 **Find the correct symbol**

Search by company name, then **verify the ISIN**. Indian companies have similar names, and some have multiple listed entities after a demerger. Confirm the exchange (NSE or BSE) — prices differ slightly and liquidity is usually deeper on NSE for most scrips. Check the **series**: "EQ" is normal rolling settlement; "BE" is trade-for-trade with no intraday permitted.

4 **Run the pre-purchase liquidity and surveillance check**

Average daily traded value, bid-ask spread, circuit band, and whether the scrip appears on today's ASM or GSM list at nseindia.com. If the spread is wider than 0.5% or the daily value is under ₹2 crore, treat the position as hard to exit. This takes sixty seconds and prevents the worst category of mechanical loss.

5 **Open the order window and set the product type**

Read the product type aloud. It must say **CNC** or **Delivery** or

Longterm
— not MIS, not MTF, not NRML. This single check prevents the most common beginner error: an accidental intraday trade that is auto-squared-off at 15:15 with fees on both legs.

6 **Choose the order type**
Select
Limit
, not Market. Look at the market depth and set your limit at the current best ask (for a near-certain fill) or a little below it (for a better price with some risk of not filling). Enter the quantity. Leave validity as DAY. Do not use a disclosed quantity for a small order.

7 **Review the order preview**
Check, in order: symbol, exchange, buy/sell, quantity, limit price, product type, validity, and the estimated amount. Compare the estimated amount against your available margin. Then confirm.

8 **Watch for execution**
The order appears in the
Orders
tab as "Open" until matched, then moves to "Executed". A partially filled order shows the filled quantity; the balance stays open until 15:30. If the order does not fill by the end of the session, it is cancelled automatically and no charge is incurred.

9 **Verify in Positions, then in Holdings**
On trade day the purchase appears under
Positions
(or as a T+1 holding).
On T+1 it moves to Holdings
and the shares are credited to your demat. Do not panic on day one when "Holdings" is empty — settlement has not completed.

10 **Read the contract note**
It arrives by email within 24 hours, digitally signed and usually password protected (commonly your PAN in a specified format). Open it. Check the quantity, rate, and every charge against section 15. Save it in a folder organised by financial year — you will need it for capital gains computation years later.

11 **Verify at the depository**
On T+1 or T+2, log in to CDSL easi or NSDL IDeAS and confirm the shares appear in your demat account at the depository, not merely in the broker's app. Do this for your first few trades until you trust the chain.

12 **Record it**

Add the purchase to your own spreadsheet: date, symbol, ISIN, quantity, price, total cost including charges, and the reason you bought. The "reason" column is the most valuable one — reading it in two years is how you learn whether your reasoning works.

13

Set up the ongoing checks

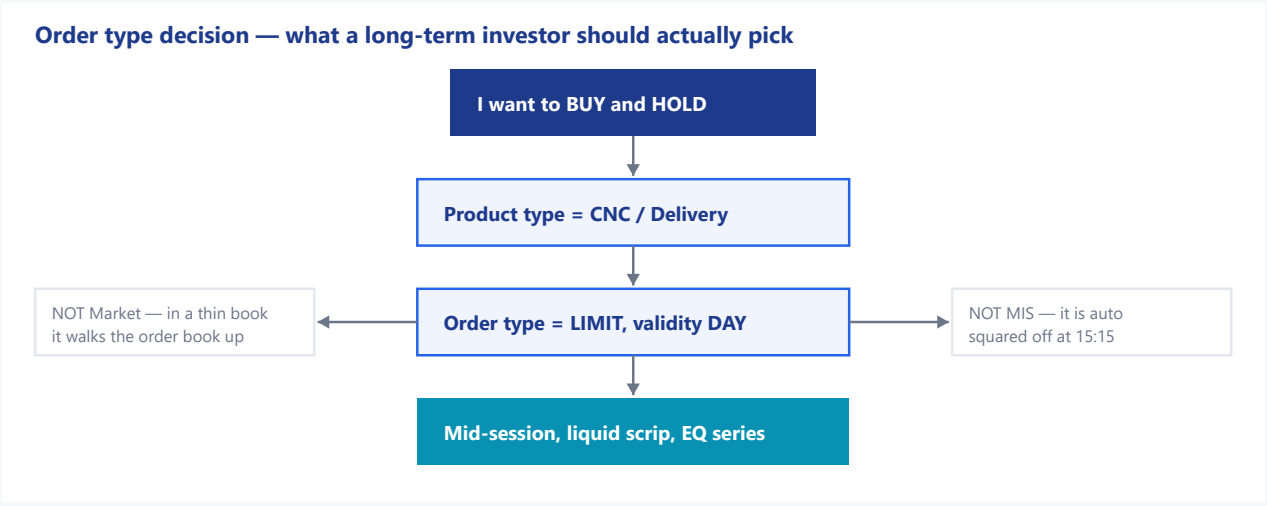
Enable SMS and email alerts for every demat debit. Set a calendar reminder for a quarterly portfolio review and an annual reconciliation of CAS against AIS. Do **not** set a price alert that will make you look at the position daily.

✦ **Do the first one small and deliberately**

Buy one share, or ₹2,000 worth of a liquid ETF, purely as a mechanics exercise. Watch the full cycle: order placed, order executed, contract note received, T+1 credit in demat, depository statement updated. Then sell it, and watch the sell cycle including the DP charge and the funds landing in your bank. The whole exercise costs under ₹100 in charges and gives you a complete mental model of the plumbing. Doing this before you invest a meaningful amount is the single most useful hour you can spend.

Common Beginner Mistakes in Market Mechanics

These are not strategy errors or bad stock choices. They are mechanical mistakes — misunderstanding how the machinery works — and each one has a specific, avoidable consequence. Every item below is something that happens to thousands of Indian retail investors every month.



The entire order-entry decision for a buy-and-hold investor, in one path. Deviating from it is how most mechanical losses occur.

The mistakes, with consequences

Mistake	What actually happens	Typical cost	Prevention
1. Buying penny stocks because the price is low	Price per share says nothing about value — a ₹4 stock with 500 crore shares is a bigger company than a ₹4,000 stock with 10 lakh shares. Low-priced Indian scrips are heavily represented in ASM/GSM, in pump-and-dump schemes, and among shell companies.	Permanent loss of most of the capital; inability to exit through successive lower circuits	Judge by market capitalisation, financials and liquidity, never by price per share. Check the ASM/GSM list.
2. Buying on a tip from a group	You receive the message in the promotion phase of a pump, by construction. You are the exit liquidity for whoever accumulated earlier.	50%–85% loss, often with no ability to sell	Leave the groups. Verify any recommendation source's SEBI RIA/RA registration at sebi.gov.in.
3. Using MTF (margin funding) to buy more	You borrow at 12%–18% annualised to hold a volatile asset. If the price falls and your margin shortfall is not met, the broker liquidates your position — at the worst possible moment, by definition.	Amplified loss plus interest; forced selling at the bottom	Do not use leverage to invest. If you cannot buy it with cash, you cannot afford the position.
4. Accidentally trading intraday (MIS instead of CNC)	The broker auto-squares off around 15:10–15:20. You pay brokerage on two legs, STT, and a ₹50 auto square-off fee, and you own nothing.	₹100–₹200 per occurrence, plus any adverse price move	Read the product type aloud before confirming every order.
5. Selling shares you have not received (BTST) and being short-delivered	Your seller fails to deliver, so you cannot deliver, and your trade goes to auction. The close-out price can be the highest price over the period plus a 20% markup.	20%+ of the trade value, plus auction penalty	Wait for the demat credit before selling. One day of patience.

6. Using market orders in illiquid scrips	Your order walks up through multiple price levels. You pay 1%–5% more than the quoted price, instantly, before any price movement.	1%–5% on entry and again on exit	Always use limit orders. Check the depth before sizing the order.
7. Buying an ETF at a large premium to iNAV	You pay ₹115 for ₹100 of underlying assets. The premium erodes as it normalises, which is a guaranteed loss independent of market direction.	5%–20% in capped international ETFs	Check the iNAV before every ETF order. Use limit orders near iNAV. Consider an index fund instead.
8. Ignoring the T2T / BE series	You buy and sell the same day in a trade-for-trade scrip. Both legs settle separately; you must deliver shares you do not have, and you go to auction.	Auction close-out penalty	Check the series before trading any unfamiliar scrip.
9. Missing a rights issue or a buyback notice	Rights entitlements lapse worthless; buyback tendering windows close. This is the rare case where *inaction* directly destroys value.	The full value of the entitlement	Keep email and mobile updated with your DP. Check the exchange corporate actions calendar quarterly.
10. Holding shares in a dormant or non-compliant account	Accounts can be frozen for debits due to incomplete re-KYC, missing nomination, or an inoperative PAN. You discover this when you try to sell.	Inability to transact for days or weeks	Check KYC status at a KRA annually. Register a nomination. Keep PAN-Aadhaar linked.
11. Applying to an IPO because of the grey market premium	GMP is unregulated, manipulable and frequently wrong. You are speculating on a rumour from an opaque market.	Listing-day losses; blocked capital	Read the RHP. Decide based on the business and the price, or do not apply.
12. Applying for 13 lots in a heavily oversubscribed IPO	In an oversubscribed retail book, every applicant gets at most one lot by lottery. You blocked ₹1.9 lakh to get the	Opportunity cost on blocked funds	Apply for one lot per PAN across eligible family members, at cut-off.

	same odds as someone who blocked ₹15,000.		
13. Selling many small holdings on the same day	DP charges are levied **per scrip, per day**. Selling eight different small positions costs eight charges, each around ₹17.70 including GST.	₹140 on a possibly tiny total value — potentially several percent	Consolidate holdings. Avoid buying tiny positions in many scrips.
14. Keeping large idle funds in the trading account	Idle money earns nothing and sits with the broker. SEBI's running-account settlement rules push it back periodically, but exposure exists in between.	Opportunity cost; counterparty exposure	Fund the account just before trading. Use the UPI block facility where available.
15. Not reading the contract note	Errors in quantity, rate or charges go unnoticed and uncorrected; cost of acquisition records are lost, making capital gains computation years later impossible.	Tax notices; unrecoverable billing errors	Open and file every contract note by financial year.
16. Trading in the first fifteen minutes	Spreads are widest and prices most erratic as overnight information is absorbed and institutional algorithms work orders.	Unnecessary slippage	For a long-term investor, mid-session execution is calmer and costs less.
17. Confusing the fund's NAV date with the SIP debit date	Units are allotted at the NAV of the day funds are *realised*, not the day you placed the order. In a volatile week the difference can be 2%.	Confusion rather than loss; it averages out	Understand the cut-off times and realisation timelines for your AMC.
18. Treating SEBI's IPO approval as an endorsement	SEBI vets *disclosure*, not valuation or quality. The RHP cover page says this explicitly.	Misplaced confidence	Read the risk factors and the peer valuation table yourself.

✕ **The one mistake that dwarfs all of these**

Trading equity derivatives. SEBI's own studies of individual F&O traders have reported that roughly **91% lost money in FY 2024-25**, with aggregate individual losses exceeding ₹1 lakh crore (₹1,00,000,00,00,000) and an average annual loss of around ₹1.1 lakh (₹1,10,000) per loss-making trader. Futures and options are legitimate instruments for hedging a real underlying exposure. For a salaried beginner with nothing to hedge, buying weekly index options has a documented loss rate that no amount of study has been shown to overcome at the population level. This guide does not cover F&O strategy and does not recommend participation. Verify the current SEBI study at **sebi.gov.in**.

Frequently Asked Questions

Specific answers to the mechanical questions beginners actually ask. All figures and rules are stated as at FY 2025-26 / late 2026 and must be verified before reliance.

Why do I need both a trading account and a demat account? Can I have one without the other?

They do different jobs. The **trading account** is your interface to the exchange's order-matching engine — it is how you place orders and where funds sit temporarily in transit. The **demat account** is where securities are held in electronic form, maintained by NSDL or CDSL through a Depository Participant. You can hold a demat account without a trading account if you only receive shares (an inherited holding, an IPO allotment, or an ESOP credit) and never trade — but you cannot sell them on the exchange without a trading account. Conversely, a trading account alone is enough for segments that do not require delivery, such as F&O, which settle in cash. For anyone buying and holding equity, you need both, and they are almost always opened together by the same broker acting as both trading member and DP. Note one more thing: **mutual funds do not require a demat account** at all — units can be held in statement-of-account form with the RTA, which is the default when you invest directly with an AMC.

What exactly is T+1 settlement, and why is my money not in my bank account the same day I sell?

T+1 means the trade settles on the next *trading* day. When you sell on Monday, three things happen in sequence. On Monday the trade executes and the obligation is created; the clearing corporation novates it. On Tuesday morning the securities are debited from your demat account at pay-in, and by Tuesday afternoon funds are credited to your broker at pay-out and reflected in your **trading account**. Transferring those funds from the trading account to your **bank account** is a *separate* step you must initiate, and it typically takes one more working day — so money from a Monday sale commonly lands in the bank on Wednesday. Holidays extend this: a Thursday sale with Friday a holiday settles on Monday and reaches the bank Tuesday. SEBI has also introduced an **optional T+0**

cycle for a specified set of scrips, where settlement happens the same day; availability depends on the scrip and on whether your broker offers it. Verify the current scope at sebi.gov.in.

What happens if my broker goes bankrupt? Do I lose my shares?

Your **shares** are held in *your own* demat account at NSDL or CDSL, not by the broker — the broker is only the Depository Participant maintaining the account. SEBI's reforms, particularly the margin pledge and re-pledge system introduced in 2020, ended the earlier practice of brokers holding client securities in pool accounts, which was the vector for the major broker defaults of 2019–2020. So in principle your securities survive a broker failure and can be transferred to another DP. Your **funds** lying in the trading account are a different matter: SEBI requires segregation of client funds, upstreaming of client funds to clearing corporations, and periodic running-account settlement back to your bank, all of which limit the exposure — but they do not eliminate it. If an exchange declares a broker a defaulter, the exchange's **Investor Protection Fund** compensates eligible investors up to a prescribed limit; verify the current limit with NSE or BSE. Practical defences: register directly with CDSL easi or NSDL IDeAS so you can see your holdings independently of your broker, enable debit alerts, do not leave large idle balances in the trading account, use the UPI block facility if your broker supports it, and check the exchange's defaulter member list before choosing a broker.

Why did my stock price suddenly halve overnight? Did something terrible happen?

Before assuming bad news, check the **corporate actions** for that scrip on nseindia.com or bseindia.com. A 1:1 bonus issue doubles your share count and halves the price. A 1:5 stock split multiplies your count by five and divides the price by five. In both cases your total holding value is unchanged, and your broker's app may take a day to reflect the new share count while already showing the new price — which produces an alarming but entirely fictitious "loss" on the screen. A dividend ex-date also reduces the price by the dividend amount, and a demerger reduces the parent's price by the value of the spun-off entity, which you receive as separate shares that may not list for several weeks. If no corporate action explains it, then check the company's exchange filings under LODR Regulation 30 — results, an auditor resignation, a regulatory order, a promoter pledge invocation, or a credit rating downgrade. If the stock is hitting successive lower circuits, that is a liquidity event and you may not be able to sell at any price until buyers return.

Should I use NSE or BSE? Does it matter which exchange I buy on?

For most purposes it matters very little, but there are real differences. **Liquidity**: NSE has substantially greater volume in most equity scrips, which means tighter spreads and lower impact cost — so for anything other than the largest names, NSE usually gives a better execution. **Price**: the two exchanges can differ by a few paise because they are separate order books; arbitrageurs keep them close. **Charges**: exchange transaction charges differ slightly between NSE and BSE. **Settlement**: both settle T+1 and both use the same depositories, so shares bought on either exchange land in the same demat account. One genuinely important point: **you can buy on one exchange and sell on the other** once the shares are in your demat, because the holding is exchange-agnostic — but you **cannot** do this intraday before delivery, because the obligations are exchange-specific. Some scrips are listed on only one exchange, and SME platforms (NSE Emerge, BSE SME) are entirely separate.

Your broker may default to one exchange; check which, and for thinly traded scrips compare the depth on both before placing the order.

What is a circuit filter, and why can I not sell my stock?

A circuit filter is a daily price band — 2%, 5%, 10% or 20% depending on the scrip's surveillance status — beyond which the exchange will not accept orders. Scrips in the F&O segment have no fixed daily band but have a dynamic operating range that flexes after a cooling-off period. When a stock hits its **lower circuit**, it means the price cannot fall further that day, but — crucially — it also means **there are no buyers at the permitted price**. The order book shows an enormous pending sell quantity against essentially nothing on the bid. You can place a sell order, but it will not execute. If the stock opens at the lower circuit again the next day and the next, you watch the value fall 5% or 10% a day for a week while being unable to exit. This is the mechanism by which holders of manipulated small caps and companies hit by a fraud disclosure lose most of their money, and it is why **liquidity, not volatility, is the real risk** in small companies. An **upper circuit** is the mirror image: you cannot buy. Before buying any unfamiliar scrip, check its circuit band and whether it appears on the ASM or GSM list.

How do I actually make money from shares? Is it only when the price goes up?

There are three sources, and over long periods the first is the one that does the work. **(1) Earnings growth.** The company earns more, so its claim on cash flows is worth more. This is the economic engine, and it is why equity is positive-sum rather than a zero-sum transfer. **(2) Dividends.** Cash distributed to you, taxed at your slab rate as at FY 2025-26. Note that a dividend is not free money: the share price is adjusted downward by the dividend amount on the ex-date, so your wealth is unchanged before tax and *reduced* after tax. **(3) Multiple re-rating.** The market decides to pay a higher price-to-earnings multiple for the same earnings. This is sentiment, it is mean-reverting over long periods, and relying on it is closer to speculation. There is also **buyback**, which returns cash and reduces the share count — though its tax treatment in India changed materially from 1 October 2024 and it is now treated as a deemed dividend taxed at slab. The practical implication: over one year, price movement dominates and is mostly noise. Over twenty years, earnings growth dominates and the noise averages out. That asymmetry is the entire argument for long holding periods.

Is it worth applying to every IPO? Everyone says listing gains are free money.

The evidence does not support "free money". SEBI's own research and academic work on Indian IPOs document three patterns. First, average listing-day gains across a cycle have been positive, but the distribution is extremely wide — many issues list at a discount, and the average is driven by a small number of large pops. Second, SEBI found that individual investors **sell a very large share of allotted stock within the first week**, and sell more readily when gains are large, which is the disposition effect rather than a strategy. Third, **one-year and three-year returns are far less flattering**: a substantial proportion of issues trade below their issue price a year after listing. The structural reason is simple: the company and its existing shareholders choose the timing and the price band, with merchant bankers advising, and they have complete information while you have three days and a 600-page document. That asymmetry does not make every IPO bad, but it means the base rate is not in your

favour. If you do apply, the sensible process is: read the risk factors and the "Objects of the Issue" (fresh issue or offer for sale?), compare the implied valuation against listed peers in the RHP's own peer table, check the lock-in expiry schedule, and decide *before* listing day whether you are a long-term owner or a day-one seller. Do not apply because of the grey market premium, which is unregulated and manipulable, and never apply with borrowed money.

What are DP charges and why am I being charged when I sell but not when I buy?

DP charges are levied by the Depository Participant on behalf of CDSL or NSDL for **debiting securities** from your demat account — which happens only when you sell. Buying credits your account, and crediting is free. The charge is a flat amount, typically ₹13 to ₹25 plus 18% GST, levied **per scrip, per day**, entirely irrespective of quantity or value. This makes it sharply regressive for small transactions: ₹17.70 on a ₹2,000 sale is 0.885% of the trade, while the same ₹17.70 on a ₹2,00,000 sale is 0.009%. Two practical consequences. First, selling eight different small holdings on the same day incurs eight separate charges, which can easily exceed ₹140 on a portfolio worth a few thousand rupees. Second, this is a strong argument against accumulating many tiny positions across many scrips — consolidate into fewer, larger holdings, or use mutual funds held in statement-of-account form, which incur no DP charge at all. The charge often does not appear on the contract note; it is debited separately by the DP and shows on your ledger.

What is the difference between an index fund and an ETF if they track the same index?

The underlying portfolio is identical; the wrapper and the buying mechanics differ. An **index fund** is a regular mutual fund: you buy and sell units directly with the AMC at the end-of-day NAV, you need no demat account, there is no bid-ask spread and no premium or discount, SIPs work natively, and the minimum investment can be ₹100. An **ETF** is listed and traded like a share: you need a demat and trading account, you buy in whole units at whatever price the market offers, you pay brokerage, STT and the bid-ask spread, and you may pay a **premium to the ETF's iNAV** if it is illiquid or if creation of new units is constrained — a real problem with Indian ETFs tracking international indices, where sustained premiums of 5%–20% have occurred because the industry-wide overseas investment limit blocked new unit creation. ETFs typically carry a lower expense ratio and allow intraday trading. For a monthly SIP investor, the index fund is usually the simpler and cheaper instrument all-in. For a large lump sum into a deeply liquid ETF, the ETF can win. In either case, check the **tracking difference over 3 and 5 years**, not just the expense ratio.

How are my gains taxed, and what records do I need to keep?

As at FY 2025-26, for **listed equity shares and equity-oriented mutual funds**: gains on holdings of 12 months or less are short-term capital gains taxed at **20%** under Section 111A; gains on holdings of more than 12 months are long-term capital gains taxed at **12.5%** under Section 112A, with the first **₹1,25,000** of LTCG exempt each financial year. Dividends are taxed at your **slab rate**, with TDS deducted by the company above the applicable threshold. Debt mutual fund units acquired on or after 1 April 2023 are taxed at slab rate regardless of holding period. Records you need: every **contract note** (filed by financial year), your broker's and the RTA's **capital gains statements**, corporate action notices (especially demerger cost-apportionment letters and bonus allotment

advices, because they determine your cost of acquisition and holding period), and your **Annual Information Statement** from incometax.gov.in, which you must reconcile before filing. A salaried person with capital gains generally files **ITR-2**. File by the due date — missing it forfeits your right to carry forward capital losses for eight assessment years. Note that all of this changes: the Income-tax Act, 2025 takes effect from 1 April 2026 and renumbers sections. Verify at incometax.gov.in and use a chartered accountant for your first filing with capital gains.

Can I buy shares of foreign companies like Apple or Microsoft from India?

Yes, through several routes, each with different friction. **(1) Indian mutual funds and fund-of-funds** tracking global indices — rupee SIPs through any Indian platform, simplest route, but many such schemes have been **closed to fresh inflows** since early 2022 because the industry-wide overseas investment limits set by SEBI and the RBI (USD 7 billion for mutual funds, USD 1 billion for ETFs) were breached. Availability varies by AMC; check before assuming. **(2) Indian ETFs tracking global indices**, listed on NSE/BSE — but these frequently trade at large premiums to iNAV when creation is blocked, so check the iNAV and use limit orders. **(3) Direct US brokerage accounts** funded under the RBI **Liberalised Remittance Scheme**, which permits up to USD 250,000 per financial year per person. This route attracts **TCS** on remittances above the annual threshold (₹10 lakh as at FY 2025-26 — verify), which is creditable against your tax but blocks cash flow, plus a forex conversion spread of 0.5%–2%. Tax: US dividends are withheld at 25% under the India-US DTAA with credit available in India; capital gains are taxed in India with a 24-month long-term threshold for foreign assets; and **Schedule FA disclosure in your ITR is mandatory**, with penalties under the Black Money Act for non-disclosure. **(4) GIFT City** IFSC-domiciled structures, a growing but still limited route. Verify all limits and tax positions at rbi.org.in and incometax.gov.in.

What is a lower circuit, upper circuit, and what is ASM/GSM? I keep seeing these on my broker app.

Circuits are price bands and are explained above. **ASM** (Additional Surveillance Measure) and **GSM** (Graded Surveillance Measure) are joint SEBI-exchange frameworks that progressively restrict trading in stocks showing concerning patterns. **ASM** targets *excessive speculation and volatility* — a stock that has run up sharply on unusual volume with high client concentration. Its stages impose 100% margin requirements and narrow the price band to 5% or 2%. **GSM** targets stocks whose *price is not supported by financials* — low net worth, poor earnings, weak book value. Its six escalating stages can move a stock to **trade-for-trade**, then to a **periodic call auction** where trading happens only once a week or once a month, and can require an **Additional Surveillance Deposit** of up to 100% of the trade value blocked by the exchange for months. If a stock you hold enters a high GSM stage, you may be unable to sell for days at a time and any sale may lock up additional capital. The daily ASM and GSM lists are published free on nseindia.com and bseindia.com. Checking them before buying any unfamiliar scrip takes sixty seconds and prevents the single worst category of mechanical loss.

My broker's app shows a different average price than my own calculation. Who is right?

Both can be "right" under different conventions, which is why you should maintain your own record. Brokers differ on whether the displayed average price includes brokerage, STT and other charges; on

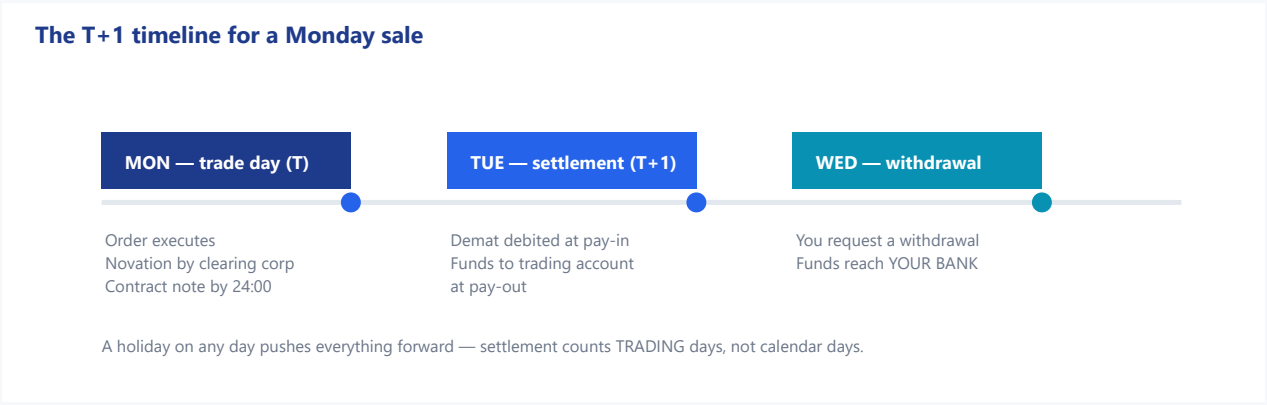
how they treat bonus shares (some assign zero cost, correctly, while others redistribute cost across the enlarged holding); on how they handle shares transferred in from another DP (often with **no cost basis at all**, showing a meaningless average); and on how they apply the FIFO convention required for capital gains. For tax purposes, what matters is the **cost of acquisition under the Income-tax Act**, computed on a FIFO basis for listed equity, with bonus shares at nil cost, split shares at apportioned cost, and demerged shares at the ratio specified in the scheme. Your broker's **capital gains statement** (as distinct from the holdings screen) is usually computed correctly for shares bought through that broker, and is what most people file from — but it cannot know the cost of shares you transferred in. The remedy is to keep your own spreadsheet with date, quantity, price, charges and corporate actions for every holding, and to reconcile it annually against the broker statement, the Consolidated Account Statement and the AIS.

How do I verify that a broker or adviser is genuine before giving them money?

Four checks, in order, and all of them are free. **(1) Get the registration number in writing** — by email, not verbally. Formats: stock broker `INZ000012345`, Investment Adviser `INA000012345`, Research Analyst `INH000012345`, Portfolio Manager `INP000012345`; an AMFI `ARN-12345` denotes a mutual fund *distributor* earning commission, not an adviser. **(2) Verify it on SEBI's own site** — type **sebi.gov.in** into the address bar yourself, never follow a link they send, go to the intermediaries section, and search by both name and number. They must match the same entity. **(3) Check enforcement** — search the name in SEBI's Orders section and in the debarred entities list, and check the exchange's defaulter/expelled member list on nseindia.com and bseindia.com. **(4) Payment hygiene** — pay only into the entity's registered bank account in the *entity's* name, never an individual's; never share your trading password, PIN, TPIN or OTP; never install remote-access software such as AnyDesk or TeamViewer at anyone's request, which is the most common vector in Indian financial fraud calls. If something goes wrong: complain to the intermediary in writing first, then the exchange's investor grievance cell, then SEBI **SCORES** at scores.gov.in, then the SMART ODR portal. For cyber fraud, call **1930** or report at cybercrime.gov.in *immediately* — within the first few hours there is a real chance of freezing the transfer; after 24 hours, very little.

First-Trade Checklist and Glossary

A pre-flight checklist you can work through before your first transaction, followed by a reference glossary of the terms you will encounter on an Indian broker platform, a contract note and an exchange website.



Why money from a Monday sale is typically in your bank on Wednesday, not Monday.

Before your first trade

- ☐ **KYC status is "Validated"** at a KRA — check at any KRA website using your PAN. "On-Hold" or "Rejected" blocks transactions.
- ☐ **PAN is linked to Aadhaar** and is operative — check at incometax.gov.in. An inoperative PAN blocks market transactions and triggers higher TDS.
- ☐ **Nomination registered** on the demat account, or an explicit opt-out filed. Non-compliance has previously frozen accounts for debits.
- ☐ **Name matches exactly** across PAN, bank account and demat account. A mismatch causes rejected IPO applications and failed payouts.
- ☐ **Broker's SEBI registration (INZ) verified** on sebi.gov.in and in the exchange member list; defaulter list checked.
- ☐ **Two-factor authentication enabled** on the broker login and on the email address registered with the broker.
- ☐ **Registered directly with the depository** — CDSL easi or NSDL IDeAS — so you can see holdings independently of the broker.
- ☐ **SMS and email alerts enabled** for every demat debit.
- ☐ **Bank account linked** and funded via UPI (free) rather than net banking (often ₹9–₹20 per transfer).
- ☐ **Contract note password known** — usually your PAN in a defined format. Test that you can open one.

- [ ] **A record-keeping folder created**, organised by financial year, for contract notes and corporate action notices.
- [ ] **A spreadsheet started** with columns: date, symbol, ISIN, quantity, price, total cost, and *reason for purchase*.

For the specific order

- [ ] Symbol and **ISIN verified** — not just the company name, which may be ambiguous after a demerger.
- [ ] **Series checked**: EQ (normal) versus BE (trade-for-trade, no intraday permitted).
- [ ] **Not on today's ASM or GSM list** — checked at nseindia.com.
- [ ] **Circuit band noted** — 2%, 5%, 10%, 20% or dynamic.
- [ ] **Average daily traded value** checked; your order is a small fraction of it.
- [ ] **Bid-ask spread** checked in the market depth window; under 0.1% is comfortable.
- [ ] For an **ETF**: iNAV checked and the market price is within about 0.5% of it.
- [ ] **Product type = CNC / Delivery.** Read it aloud. Not MIS, not MTF, not NRML.
- [ ] **Order type = Limit**, with a specific price. Not Market.
- [ ] **Validity = DAY.**
- [ ] **Available margin exceeds** the order value plus charges.
- [ ] Executing **mid-session**, not in the first fifteen minutes.

After the trade

- [ ] Order status confirmed as **Executed**, with quantity and price as expected.
- [ ] **Contract note received** within 24 hours, opened, and every charge checked against section 15.
- [ ] On T+1, **shares visible in Holdings** in the broker app.
- [ ] On T+1 or T+2, **shares confirmed in the depository statement** at CDSL easi or NSDL IDeAS.

- [ ] Entry added to your own **spreadsheet**, including the reason for purchase.
- [ ] Contract note **filed** in the financial-year folder.
- [ ] Quarterly review reminder and annual CAS-versus-AIS reconciliation reminder set in your calendar.
- [ ] No price alert set that will make you check the position daily.

Glossary of Indian market terms

Term	Meaning
AMC	Two meanings. (1) Asset Management Company — the entity that runs mutual fund schemes. (2) Annual Maintenance Charge — the yearly fee your DP levies on a demat account.
AMFI	Association of Mutual Funds in India. Industry body; publishes NAVs, monthly flow data, and the official large/mid/small cap company list.
AMO	After Market Order. An order queued at the broker outside market hours and submitted at the next session's start.
Anchor investor	A large institution allotted shares one day before an IPO opens, at a price within the band, subject to a 30-day and 90-day staggered lock-in.
ASBA	Applications Supported by Blocked Amount. Your money is blocked in your own bank account and debited only on allotment. Used for IPOs and rights issues.
ASM	Additional Surveillance Measure. Framework restricting trading in scrips showing excessive speculation or volatility.
Auction	The process by which the clearing corporation buys shares to deliver to a buyer whose seller short-delivered, with a punitive close-out charged to the defaulter.
BE series	NSE's trade-for-trade settlement series. Every trade must result in delivery; intraday is not permitted.
Bid-ask spread	The gap between the highest price a buyer will pay and the lowest a seller will accept. A direct measure of liquidity and of your round-trip cost.
Block deal	A large negotiated trade executed in a dedicated exchange window above a prescribed minimum order size, within a price band around a reference price.
Bonus issue	Free additional shares issued by capitalising reserves. Value-neutral. Bonus shares have nil cost and a fresh holding period for tax.
Book building	IPO price discovery within a stated band, driven by institutional and retail bids.
BSDA	Basic Services Demat Account. A reduced-fee demat account for small single-account holders.
BTST	Buy Today Sell Tomorrow. Selling before the shares are credited to your demat. Carries short-delivery and auction risk.

Bulk deal	A trade exceeding 0.5% of a company's listed shares, executed in the normal market and disclosed to the exchange the same day.
Buyback	A company repurchasing its own shares, by tender offer or open market. Taxed as a deemed dividend in the shareholder's hands from 1 October 2024.
CAS	Consolidated Account Statement. A free statement from NSDL/CDSL showing all demat and mutual fund holdings against your PAN.
CDSL	Central Depository Services (India) Limited. One of India's two depositories. Demat IDs are 16 numeric digits.
Circuit filter	The daily price band — 2%, 5%, 10% or 20% — beyond which the exchange rejects orders in a scrip.
Clearing corporation	NSE Clearing Ltd or Indian Clearing Corporation Ltd. Becomes the counterparty to every trade through novation and guarantees settlement.
CNC	Cash and Carry. The delivery product type. What a long-term investor must use.
Contract note	The legally binding record of a trade, issued within 24 hours, itemising every charge.
Corporate action	Any company event affecting shareholdings: dividend, bonus, split, rights, buyback, merger, demerger, delisting.
Cover order	An intraday order with a compulsory stop-loss attached, permitting higher leverage.
Cut-off price	An IPO bidding option, available only to retail and employees, meaning "I accept whatever price is discovered".
Delivery	Taking actual ownership of shares into your demat account, as opposed to squaring off intraday.
Demat	Dematerialised. Securities held in electronic form at a depository rather than as physical certificates.
Demerger	A company spinning off a division into a separately listed entity. Your original cost is apportioned between the two.
Depository	NSDL or CDSL. Maintains the definitive electronic record of securities ownership.
DII	Domestic Institutional Investor — Indian mutual funds, insurers, pension funds and banks.

Disclosed quantity	An order feature showing only part of your total quantity to the market, refilling as it executes.
DP	Depository Participant. The agent — usually your broker or bank — through which you access NSDL or CDSL.
DP charges	A flat fee per scrip per day levied on *sell* transactions for debiting your demat account.
DRHP	Draft Red Herring Prospectus. The initial IPO document filed with SEBI, made public for comment.
Ex-date	The first day a share trades without entitlement to a corporate action. Under T+1 it coincides with the record date.
Expense ratio	The annual percentage of assets a fund charges, deducted daily from NAV. Direct plans exclude distributor commission.
FII / FPI	Foreign Institutional Investor / Foreign Portfolio Investor. Overseas investors registered with SEBI.
Free float	Shares available for public trading, excluding promoter, government and strategic holdings. The basis of index weighting.
GMP	Grey Market Premium. An unofficial, unregulated and manipulable price quoted for IPO shares before listing. Not a reliable signal.
GSM	Graded Surveillance Measure. Framework restricting trading in scrips whose price is unsupported by financials.
GTT	Good Till Triggered. A broker-side standing instruction valid for up to a year that places an order when a trigger is reached.
Impact cost	The percentage cost of executing a standard-size order relative to the ideal mid-price. The practical measure of liquidity; published by NSE.
iNAV	Indicative Net Asset Value. The real-time fair value of an ETF's underlying holdings. Compare it to the market price before trading an ETF.
InvIT	Infrastructure Investment Trust. A listed vehicle holding infrastructure assets and distributing at least 90% of cash flows.
IOC	Immediate or Cancel. Order validity: execute what can be executed now, cancel the rest.

IPF	Investor Protection Fund. Exchange-maintained fund compensating investors up to a limit if a member is declared a defaulter.
IPO	Initial Public Offering. A company's first sale of shares to the public, listing it on an exchange.
ISIN	International Securities Identification Number. The unique 12-character identifier for a security. Verify it before trading.
KRA	KYC Registration Agency. Stores your market KYC centrally for reuse across intermediaries.
Limit order	An order that executes only at your specified price or better. The default for a long-term investor.
LODR	SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. Governs what listed companies must disclose.
Lot size	The minimum tradeable or applicable quantity — relevant in IPOs and in derivatives.
LTCG / STCG	Long-term / short-term capital gain. For listed equity the threshold is 12 months.
Market depth	The order book showing the best five bid and ask levels with quantities.
Market order	An order executed immediately at the best available prices. Dangerous in illiquid scrips.
MIS	Margin Intraday Square-off. The intraday product type; positions are auto-squared-off before close.
MTF	Margin Trading Facility. Buying delivery shares with money borrowed from the broker at 12%–18% annualised.
Muhurat trading	A ceremonial one-hour session on Diwali marking the start of Samvat. Real settlement, thin volumes.
NAV	Net Asset Value. The per-unit value of a mutual fund scheme.
NII	Non-Institutional Investor. IPO applications above ₹2,00,000, split into small (₹2–10 lakh) and big (above ₹10 lakh) buckets.
Novation	The legal substitution by which the clearing corporation becomes buyer to every seller and seller to every buyer.

NSDL	National Securities Depository Limited. India's first depository. Demat IDs begin with "IN".
OBPP	Online Bond Platform Provider. A SEBI-regulated platform selling listed corporate bonds to retail investors.
OFS	Offer For Sale. Existing shareholders selling their stake; the company receives nothing.
Pay-in / pay-out	The settlement steps where funds and securities are collected from, and distributed to, members.
PIT Regulations	SEBI (Prohibition of Insider Trading) Regulations, 2015. Governs trading on unpublished price-sensitive information.
Pre-open session	09:00–09:15, a call auction that discovers the opening price through a single equilibrium calculation.
Price band	In IPOs, the range within which bids may be placed. In trading, the circuit limit.
Promoter	The controlling shareholder or founding group, as defined in SEBI regulations. Subject to lock-ins and disclosure obligations.
QIB	Qualified Institutional Buyer. The institutional category in a public issue.
Record date	The date on which the register is frozen to determine entitlement to a corporate action.
REIT	Real Estate Investment Trust. A listed vehicle holding income-producing commercial property and distributing at least 90% of cash flows.
RE	Rights Entitlement. A tradeable temporary instrument representing your right to subscribe to a rights issue.
RHP	Red Herring Prospectus. The final IPO document with the price band and dates.
RIA	SEBI-registered Investment Adviser (INA number). A fiduciary who may not earn commission on products advised on.
Rolling settlement	Settlement on a fixed number of days after each trade day, as opposed to a fixed weekly cycle. India uses T+1.
RTA	Registrar and Transfer Agent. Maintains shareholder records and processes allotments, dividends and corporate actions.
SCORES	SEBI's online investor complaint redressal system at scores.gov.in.

SGB	Sovereign Gold Bond. RBI-issued bond paying 2.5% interest plus gold price appreciation. No new tranches since February 2024.
Short delivery	A seller failing to deliver shares at pay-in, triggering an auction and a punitive close-out.
SL / SL-M	Stop-loss limit / stop-loss market. Orders that activate when a trigger price is touched.
SME platform	NSE Emerge and BSE SME. Separate listing platforms for small enterprises with relaxed requirements, large minimum lot sizes and thin liquidity.
Split	Reducing the face value of a share and issuing proportionally more. Value-neutral; cost and holding period are preserved.
Spread	See bid-ask spread.
STT	Securities Transaction Tax. 0.1% on both legs of a delivery equity trade; different rates for intraday and derivatives.
T+1	The Indian equity settlement cycle: trades settle on the next trading day.
T2T	Trade-to-trade. A settlement category requiring every trade to result in delivery.
TERP	Theoretical Ex-Rights Price. The computed price of a share after a rights issue.
Tick size	The minimum permitted price increment for a scrip.
Tracking difference	The gap between an index fund's return and its index's return over a period. More important than tracking error.
Tracking error	The volatility of the return difference between a fund and its index.
TRI	Total Return Index. An index that assumes dividends are reinvested. The correct benchmark for a fund.
UCC	Unique Client Code. Your identifier with a broker at the exchange.
Upper / lower circuit	The maximum permitted daily rise or fall in a scrip. A lower circuit means you may be unable to sell at all.
VWAP	Volume Weighted Average Price. The official closing price is the VWAP of the last 30 minutes of trading.

✓ **What good practice looks like, mechanically**

Limit orders, CNC product type, liquid scrips in the EQ series, placed mid-session, with the ASM/GSM and circuit checks done first. Contract notes opened, read and filed. Holdings verified at the depository, not just in the app. Nomination registered. KYC validated. No leverage, no MTF, no accidental intraday, no selling before delivery. A spreadsheet with a "reason for purchase" column. That is the whole mechanical discipline, and it costs nothing but attention.

✗ **Final reminder**

This guide is financial education about market mechanics. It is not financial advice, recommends no security, fund or IPO, and is not tailored to your circumstances. **Past performance does not predict future returns, and you can lose money including your entire capital.** Every rate, charge, timing, threshold and regulation cited is stated as at FY 2025-26 / late 2026 and changes by circular — verify at **sebi.gov.in**, **nseindia.com**, **bseindia.com**, **nsdl.co.in**, **cdslindia.com** and **incometax.gov.in**. For advice specific to you, consult a SEBI-registered Investment Adviser and a chartered accountant. For the decisions that sit above these mechanics — goals, asset allocation, costs, taxes, behaviour and scams — see the companion guide, Investing Foundations & Personal Finance.